

1.3 Putting a business idea into practice

Paper 1 / Theme 1 · Edexcel GCSE Business 1BS0

Standalone past-paper question bank

Each entry shows the original paper pages (the entire question — case study extract, data tables, figures, and the question itself) followed by the mark scheme answer for that specific sub-question.

- **Total questions:** 67
- **Total marks:** 178
- **Sub-topics covered:** 4
- **Original PDF pages embedded:** 182

By series:

- **Specimen SAMs:** 11 questions
- **June 2019:** 11 questions
- **Nov 2020:** 8 questions
- **Nov 2021:** 9 questions
- **June 2022:** 12 questions
- **June 2023:** 6 questions
- **June 2024:** 10 questions

1.3.1 Business aims and objectives (6 questions)

Specimen SAMs · Paper 1 · Q3(a) · 5A

MCQ

1 marks

Look at this sub-question (Q3(a), 1 marks) within the pages below.

ORIGINAL PAPER — PAGES 10 (SPECIMEN SAMS PAPER 1)

Markers should be prepared to use the full range of marks available in a level and not restrict marks to the middle. Markers should start at the middle of the level (or the upper-middle mark if there is an even number of marks) and then move the mark up or down to find the best mark. To do this, they should take into account how far the answer meets the requirements of the level:

- If it meets the requirements fully, markers should be prepared to award full marks within the level. The top mark in the level is used for answers that are as good as can realistically be expected within that level
- If it only barely meets the requirements of the level, markers should consider awarding marks at the bottom of the level. The bottom mark in the level is used for answers that are the weakest that can be expected within that level
- The middle marks of the level are used for answers that have a reasonable match to the descriptor. This might represent a balance between some characteristics of the level that are fully met and others that are only barely met.

Definitions of business terms

Below are definitions of key business terms that have been used in the mark schemes for this qualification, to show how they are being used in the context of GCSE Business.

Concepts

Concepts are business models or ideas that relate to business activity, influences on business, business operations, finance, marketing and human resources.

Issues

Issues in the context of this this qualification means any external or internal event which will impinge on the environment of an organisation. They are aspects of subject content, and may include causes and consequences – that is internal and external changes and the results of these, problems, and/or opportunities.

Business information

Business information is qualitative or quantitative information that relates to business, either directly or indirectly. It could include, but is not limited to, financial data, marketing data or market data or any other internal or external information that may have a bearing on business activity.

Full descriptions of the skills required to access the Assessment Objectives can be found in the mark schemes within this document.

Look at this sub-question (Q2(d), 3 marks) within the pages below.

ORIGINAL PAPER — PAGES 4, 5, 6 (JUNE 2019 PAPER 1)

2 (a) Which **two** of the following are elements of the marketing mix?

Select **two** answers.

(2)

- ☐ A Payment
- ☐ B Planning
- ☐ C Price
- ☐ D Product
- ☐ E Profit

(b) Which **two** of the following areas are covered by employment law?

Select **two** answers.

(2)

- ☐ A Consumer rights
- ☐ B Discrimination
- ☐ C E-commerce
- ☐ D Health and safety
- ☐ E Quality of products

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Table 1 contains information about a small business for one month. The business sold 340 units in this month.

Fixed costs	£3 600
Variable costs (per unit)	£9

Table 1

- (c) Using the information in Table 1, calculate the total costs for one month. You are advised to show your workings.

(2)

£

- (d) Explain **one** possible non-financial aim an entrepreneur may have when starting a small business.

(3)



P 5 9 9 2 5 A 0 5 2 4

5

Turn over ►

(e) Explain **one** disadvantage to a small business of using qualitative data for market research.

(3)

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(Total for Question 2 = 12 marks)

6



Award 1 mark for identification of an aim, plus 2 further marks for explaining this aim up to a total of 3 marks. An entrepreneur may wish to gain personal satisfaction from starting a business (1). This is because they may feel that they have achieved something in life (1) which is based on the hard work they put into starting the business (1). A non-financial aim could be independence (1). An entrepreneur is able to make their own decisions when running a business (1) instead of being told what to do as an employee (1). Accept any other appropriate response. Answers that list more than one aim with no explanation will be awarded a maximum of 1 mark.

Look at this sub-question (Q7(e), 12 marks) within the pages below.

ORIGINAL PAPER — PAGES 17, 18, 19, 20, 21, 22, 23 (NOV 2021 PAPER 1)

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SECTION C

Answer ALL questions.

Read the following extract carefully and then answer Question 7.

Write your answers in the spaces provided.



(Source: N 454 R/Shutterstock)



(Source: Flat_Enot/Shutterstock)



(Source: OnD/Shutterstock)

That Feeling is a unique barber shop in Potters Bar, Hertfordshire. Its owner, Justin Carr, started the business, aged 25, because of his passion for being a barber. When he left school after his GCSEs he was advised to follow a different career path. However, he wanted to work in a creative industry. This ambition led him to opening a barber shop where his regular customers include England international footballers such as Kyle Walker, Kieran Trippier and Dele Alli.

The unique nature of *That Feeling* not only comes from the high quality haircuts but also from the way it looks after its customers. They can play on arcade games and get drinks whilst waiting for their appointment. The shop also sells *That Feeling* branded clothes and vintage glasses frames.

When asked about his business objectives Justin was very clear that non-financial objectives are crucial. Justin stated:

'It is important to be passionate about what you do and always try to be the best you can. The financial rewards of running a business will come if you get the other things right.'

Justin now acts as a mentor to staff members at *That Feeling* by giving help and advice about their career. Most of the employees are aged between 19 and 22. Justin feels that if they are given the opportunity to develop their skills they will bring new ideas and creativity to the business.

(Source: adapted from <https://thatfeeling.co.uk/> and interview with Justin Carr 29/05/2019)



17

Turn over ►

7 (a) State **one** example of a cash outflow for *That Feeling*.

(1)

Figure 2 shows the age of entrepreneurs starting businesses in the UK since 2000.

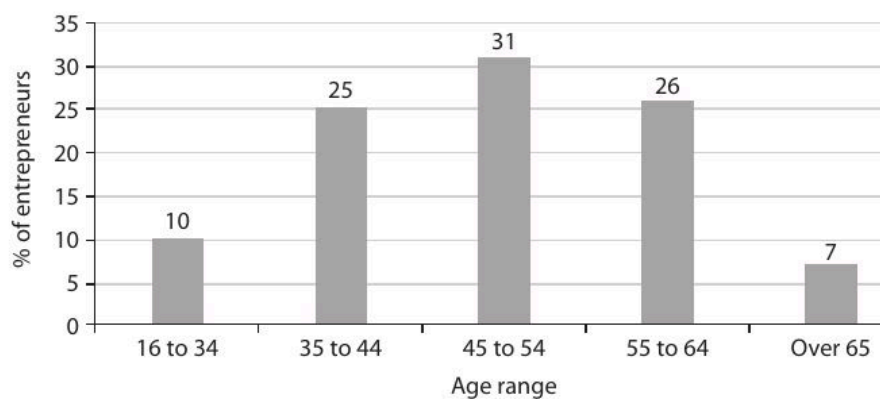


Figure 2

(Source: adapted from <https://startups.co.uk/the-average-entrepreneur/>)

(b) Using the information in Figure 2, identify what percentage of entrepreneurs were in the same age range as Justin when he started *That Feeling*.

(1)



(c) Outline **one** benefit to employees at *That Feeling* from being mentored by Justin.

(2)

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P 6 7 6 1 9 A 0 1 9 2 4

19

Turn over ►

In order to improve its brand awareness, *That Feeling* is considering two options:

Option 1: increase its range of own brand clothing

Option 2: open a second shop.

(d) Justify which **one** of these two options *That Feeling* should choose.

(9)

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Turn over ►

(e) Evaluate the importance of achieving non-financial objectives for the success of *That Feeling*. You should use the information provided as well as your knowledge of business

(12)

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(Total for Question 7 = 25 marks)

TOTAL FOR SECTION C = 25 MARKS
TOTAL FOR PAPER = 90 MARKS



P 6 7 6 1 9 A 0 2 3 2 4

Indicative content: The non-financial aims of a business, including independence and personal satisfaction, are important as they often drive the desire of an entrepreneur to start a business (AO1b). It is important for a business to set financial aims and objectives such as profit and market share as without these the business will struggle to survive (AO1b). The non-financial aims of That Feeling stem from Justin's belief that it is important to be passionate and always do the best you can (AO2). That Feeling offer a range of products such as clothing and vintage glasses frames which does indicate that it is aiming to increase the amount of revenue made by the business (AO2). Justin's focus on being the best that he can and helping to mentor others to share in this belief will have a positive effect on the quality of the service that is offered by the business. Customers will recognise this and want to go to the business to get a haircut from the best barbers. Therefore, the financial aims of the business will be taken care of by focusing on the non-financial objectives (AO3a). Survival of a business will not happen if key financial decisions are wrong. That Feeling needs to think carefully about its pricing strategy and has to ensure it has a positive cash flow. Without these the business will fail (AO3a). However, the success of That Feeling will depend on how many customers go to get their haircut at the shop, or buy its clothing. No matter how passionate Justin is, if customers think they are paying too much or do not like the clothes then they will stop using the business. The survival of the business is more closely linked to the business finances so this should be the main focus (AO3b). However, there are a large number of barber shops so competition is high. Justin recognises that That Feeling needs to stand out from the crowd. Competitive advantage will come from the unique nature of the business and the high quality service it offers. The underpinning factor is That Feeling's drive to be the best they can. This therefore is most the most important objective (AO3b). Level 1 (1-4): Elements of knowledge; limited application; limited connections; conclusion supported by generic assertions. Level 2 (5-8): Mostly accurate knowledge; sound application; chains of reasoning; conclusion based on sound evaluation. Level 3 (9-12): Accurate knowledge; detailed application; logical chains of reasoning; valid and well-reasoned conclusion based on thorough evaluation.

Look at this sub-question (Q6(a), 1 marks) within the pages below.

ORIGINAL PAPER — PAGES 14, 15, 16 (JUNE 2022 PAPER 1)

6 (a) State **one** non-financial aim that Melanie may have had when starting *Little Movers*.

(1)

(b) Outline **one** benefit to *Little Movers* of having an online booking system.

(2)

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(9)



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(Total for Question 6 = 12 marks)

TOTAL FOR SECTION B = 30 MARKS

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Award 1 mark for stating one non-financial aim that Melanie may have had. Social objective to keep children active (1). Personal satisfaction of starting a business as a mother of two children (1). Independence so she could spend school holidays with her children (1). To award 1 mark there must be evidence of application.

Look at this sub-question (Q4(b), 6 marks) within the pages below.

ORIGINAL PAPER — PAGES 9, 10, 26 (JUNE 2023 PAPER 1)

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SECTION B

Answer ALL questions. Write your answers in the spaces provided.

In the Source Booklet, look at Figure 2 and read Extract A, then answer Questions 4, 5 and 6.

- 4 (a) Outline **one** way that financial information in a business plan could help *Lili Heating Ltd.*

(2)



9

Turn over ►

(b) Analyse the impact of non-financial aims on Amelia's decision to start *Lili Heating Ltd.*

(6)

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(Total for Question 4 = 8 marks)

10



SECTION B

Look at Figure 2 and read Extract A, then answer Questions 4, 5 and 6.

Extract A



(Source: © Shutterstock)

Figure 2

Amelia Cooper trained as a plumber six years ago. Since then she has worked for a building company that carries out repairs to houses and business premises in the Birmingham area.

Amelia is now in a position where she wants to start her own plumbing business called *Lili Heating Ltd*. Even though there are many plumbers in the Birmingham area Amelia feels she has a unique selling point – she is a woman. Many female customers feel that they can relate more closely with a woman doing repairs in their homes.

As part of her business plan, Amelia has identified some clear aims and objectives and conducted a large amount of market research using the internet. Her target market requires clear advice on what work needs to be done and how much she will charge. Amelia also thinks she can cut down on advertising costs by getting her customers to recommend *Lili Heating Ltd* to their friends and families. For this to happen she knows that her work must be of the highest standard.

Amelia's business plan also included a wide range of financial information to help her forecast the potential success of the business and see if she would need an overdraft.



Indicative content: The challenge of setting up a plumbing business in Birmingham, where competition is high, could be a driving force for Amelia (AO2). Amelia may want to gain more independence after working for someone else for six years (AO2). As a result, she would be determined to succeed as there are very few female business owners in the plumbing industry. This could give her an extra incentive to do well. (AO3a). Therefore, by setting up Lili Heating Ltd she can be her own boss and make her own decisions. She no longer has to carry out repairs on houses for someone else (AO3a).

Level 1 (1-2): Limited application of knowledge and understanding of business concepts and issues to the business context (AO2). Attempts to deconstruct business information and/or issues, finding limited connections between points (AO3a).

Level 2 (3-4): Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies (AO2). Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies (AO3a).

Level 3 (5-6): Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (AO2). Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning (AO3a).

Look at this sub-question (Q3(a), 1 marks) within the pages below.

ORIGINAL PAPER — PAGES 6, 7, 8 (JUNE 2024 PAPER 1)

3 (a) Which **one** of the following is a financial aim for a new business?

(1)

Select **one** answer.

- ☐ A Challenge
- ☐ B Independence
- ☐ C Personal satisfaction
- ☐ D Survival

Figure 1 shows the number of units sold by a business each month from June to August. The break even level of output for each month was 5,000.

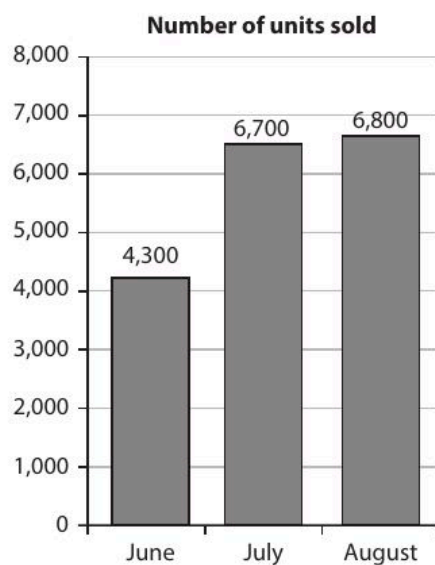


Figure 1

(b) Using the information in Figure 1, calculate the margin of safety for August. You are advised to show your workings.

(2)

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(c) Explain **one** disadvantage to a small business from an increase in unemployment.

(3)

(d) Explain **one** advantage to a small business from using e-commerce.

(3)



7

Turn over ►

(e) Discuss the way a small business could use branding to add value.

(6)

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(Total for Question 3 = 15 marks)

TOTAL FOR SECTION A = 35 MARKS

8



The only correct answer is D - Survival. A is not correct because it is a non-financial aim. B is not correct because it is a non-financial aim. C is not correct because it is a non-financial aim.

1.3.2 Business revenues, costs and profits (28 questions)

Specimen SAMs · Paper 1 · Q1(a) · \$A

MCQ

1 marks

Look at this sub-question (Q1(a), 1 marks) within the pages below.

ORIGINAL PAPER — PAGES 6 (SPECIMEN SAMS PAPER 1)

Look at this sub-question (Q3(b), 2 marks) within the pages below.

ORIGINAL PAPER — PAGES 10 (SPECIMEN SAMS PAPER 1)

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Business information

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Full descriptions of the skills required to access the Assessment Objectives can be found in the mark schemes within this document.

Substitution into correct formula: Total costs = £1 100 + (240 × 0.45) (1). Answer: £1 208 (1). Award full marks for correct numerical answer without working.

Look at this sub-question (Q6(a), 1 marks) within the pages below.

ORIGINAL PAPER — PAGES 17, 26 (SPECIMEN SAMS PAPER 1)

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(c) Explain **one** possible conflict that can exist between stakeholders of a business.

(3)

(d) Explain **one** disadvantage to a business of operating in a competitive environment.

(3)

SECTION C

Answer ALL questions. Write your answers in the spaces provided.

In the source booklet, look at Figures 4, 5, 6 and read Extract B, then answer Question 7.

- 7 (a) State **one** risk that Sally faces in starting this business.

(1)

- (b) Identify which of Sally's competitors is the most expensive per hour.

(1)

- (c) Outline **one** way in which the economic climate might impact on Sally's business.

(2)

Sally is considering whether or not to buy a franchise to start up on her own.

- (d) Justify whether or not Sally should buy a franchise.

(9)

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Look at this sub-question (Q6(b), 1 marks) within the pages below.

ORIGINAL PAPER — PAGES 17, 26 (SPECIMEN SAMS PAPER 1)

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(3)

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(3)

SECTION C

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In the source booklet, look at Figures 4, 5, 6 and read Extract B, then answer Question 7.

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(1)

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(1)

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(9)

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Award 1 mark for shading the region where the total revenue line is above the total costs line (as indicated in mark scheme diagram).

Look at this sub-question (Q6(c), 1 marks) within the pages below.

ORIGINAL PAPER — PAGES 18, 26 (SPECIMEN SAMS PAPER 1)

(e) Discuss what a small business owner should consider when deciding upon the location for their business.

(6)

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(Total for Question 3 = 15 marks)

TOTAL FOR SECTION A = 35 MARKS

SECTION C

Answer ALL questions. Write your answers in the spaces provided.

In the source booklet, look at Figures 4, 5, 6 and read Extract B, then answer Question 7.

- 7 (a) State **one** risk that Sally faces in starting this business.

(1)

- (b) Identify which of Sally's competitors is the most expensive per hour.

(1)

- (c) Outline **one** way in which the economic climate might impact on Sally's business.

(2)

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- (d) Justify whether or not Sally should buy a franchise.

(9)

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Award 1 mark for stating a benefit to Meringue of having a low break-even level of output. Need to sell fewer sandwiches to make a profit (1). More profit to invest in their website redesign (1). Accept any other appropriate response. Do not accept benefits that would not be appropriate for a small town centre bakery and cafe such as Meringue, for example being able to pay higher dividends to shareholders.

Look at this sub-question (Q2(c), 2 marks) within the pages below.

ORIGINAL PAPER — PAGES 4, 5, 6 (JUNE 2019 PAPER 1)

2 (a) Which **two** of the following are elements of the marketing mix?

Select **two** answers.

(2)

- ☐ A Payment
- ☐ B Planning
- ☐ C Price
- ☐ D Product
- ☐ E Profit

(b) Which **two** of the following areas are covered by employment law?

Select **two** answers.

(2)

- ☐ A Consumer rights
- ☐ B Discrimination
- ☐ C E-commerce
- ☐ D Health and safety
- ☐ E Quality of products

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Table 1 contains information about a small business for one month. The business sold 340 units in this month.

Fixed costs	£3 600
Variable costs (per unit)	£9

Table 1

- (c) Using the information in Table 1, calculate the total costs for one month. You are advised to show your workings.

(2)

£

- (d) Explain **one** possible non-financial aim an entrepreneur may have when starting a small business.

(3)



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Turn over ►

(e) Explain **one** disadvantage to a small business of using qualitative data for market research.

(3)

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(Total for Question 2 = 12 marks)

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Substitution into correct formula: Total Costs = £3 600 + (£9 x 340) (1). Answer: £6 660 (1). Award full marks for correct numerical answer without working.

Look at this sub-question (Q3(b), 2 marks) within the pages below.

ORIGINAL PAPER — PAGES 7, 8, 9 (JUNE 2019 PAPER 1)

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3 (a) Which **one** of the following is an example of a cash outflow for a small business?

Select **one** answer.

(1)

- ☐ A Bank loan
- ☐ B Personal savings
- ☐ C Raw materials
- ☐ D Receipts

Figure 1 shows information about the financial performance of a business from January to March.

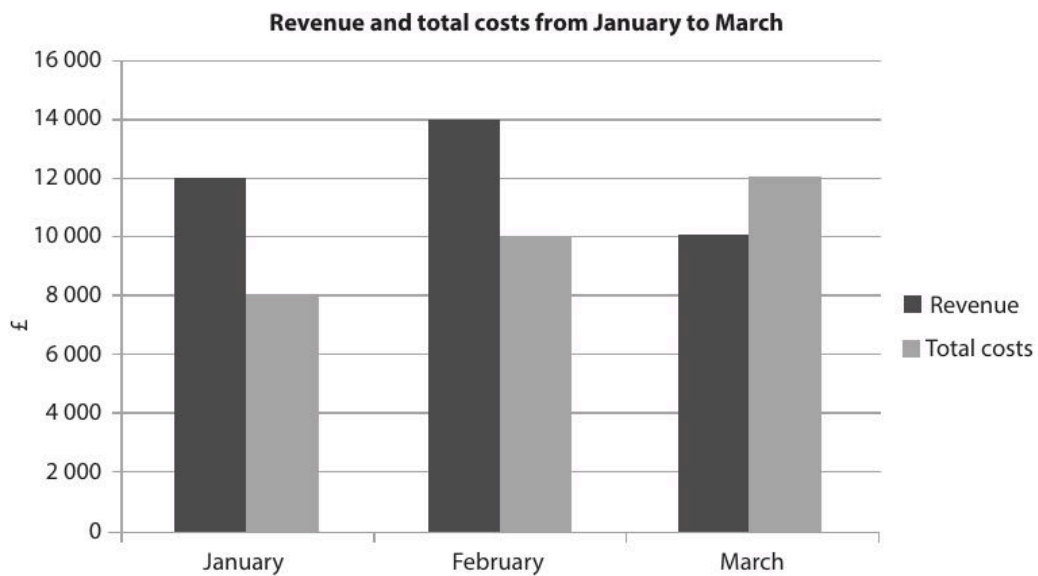


Figure 1

(b) Using the information in Figure 1, calculate the total profit for the period January to March. You are advised to show your workings.

(2)

£



7

Turn over ►

(c) Explain **one** benefit to a small business of understanding customer needs.

(3)

(d) Explain **one** reason why it is important to include financial information in a business plan.

(3)

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(e) Discuss the importance of cash to the survival of a small business.

(6)

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(Total for Question 3 = 15 marks)

TOTAL FOR SECTION A = 35 MARKS



P 5 9 9 2 5 A 0 9 2 4

9

Turn over ►

Substitution into correct formula: Total Profit = £4 000 + £4 000 - £2 000 (1). Answer: £6 000 (1). Award full marks for correct numerical answer without working.

Look at this sub-question (Q5(a), 2 marks) within the pages below.

ORIGINAL PAPER — PAGES 13, 14 (JUNE 2019 PAPER 1)

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- 5 Last Course Patisserie has the following financial information for the month of April.

	April
Raw materials for each dessert	£0.50
Packaging for each dessert	£0.20
Fixed costs	£2 730
Selling price for each dessert	£2.00

Table 2

- (a) Using the information in Table 2, calculate the level of output required to break-even in April. You are advised to show your workings.

(2)

.....desserts

In May suppliers increased the cost of raw materials by 4%.

- (b) Using the information in Table 2, calculate the variable cost per dessert following the increase in the cost of raw materials.

(2)

£



P 5 9 9 2 5 A 0 1 3 2 4

UK consumer incomes are expected to rise over the next 10 years.

- (c) Analyse the likely impact on *Last Course Patisserie* of this changing level of consumer income.

(6)

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(Total for Question 5 = 10 marks)



Substitution into correct formula: Break-even output = $\text{£}2\,730 / \text{£}2.00 - (\text{£}0.50 + \text{£}0.20) = 2\,100$ Desserts. Award full marks for correct numerical answer without working. (2)

Look at this sub-question (Q5(b), 2 marks) within the pages below.

ORIGINAL PAPER — PAGES 13, 14 (JUNE 2019 PAPER 1)

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- 5 Last Course Patisserie has the following financial information for the month of April.

	April
Raw materials for each dessert	£0.50
Packaging for each dessert	£0.20
Fixed costs	£2 730
Selling price for each dessert	£2.00

Table 2

- (a) Using the information in Table 2, calculate the level of output required to break-even in April. You are advised to show your workings.

(2)

.....desserts

In May suppliers increased the cost of raw materials by 4%.

- (b) Using the information in Table 2, calculate the variable cost per dessert following the increase in the cost of raw materials.

(2)

£



P 5 9 9 2 5 A 0 1 3 2 4

UK consumer incomes are expected to rise over the next 10 years.

- (c) Analyse the likely impact on *Last Course Patisserie* of this changing level of consumer income.

(6)

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(Total for Question 5 = 10 marks)



Increase in raw materials = $4/100 * £0.50 = £0.02$. Variable cost per dessert = $£0.52 + £0.20$ (1). Answer: £0.72 (1). Award full marks for correct numerical answer without working.

Look at this sub-question (Q2(b), 2 marks) within the pages below.

ORIGINAL PAPER — PAGES 4, 5, 6 (NOV 2020 PAPER 1)

2 (a) Which **two** of the following are examples of secondary market research?

(2)

Select **two** answers.

- ☐ A Focus group
- ☐ B Internet
- ☐ C Market report
- ☐ D Observation
- ☐ E Survey

(b) Which **two** of the following are examples of variable costs?

(2)

Select **two** answers.

- ☐ A Advertising
- ☐ B Insurance
- ☐ C Packaging
- ☐ D Raw materials
- ☐ E Rent

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Table 1 contains information about cash payments of a small business in one month. The business sold 200 units in this month. All customers paid in cash.

Selling price	£15
Rent	£500
Wages	£1 000
Advertising	£150

Table 1

- (c) Using the information in Table 1, calculate the net cash flow for this month. You are advised to show your workings.

(2)

£

- (d) Explain **one** disadvantage of starting a small business as a partnership.

(3)



P 6 1 6 4 6 A 0 5 2 4

5

Turn over ►

(e) Explain **one** way the marketing mix of a small business may change due to changing consumer needs.

(3)

(Total for Question 2 = 12 marks)

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The only correct answers are C - Packaging and D - Raw Materials. A is not correct because it is an example of a fixed cost. B is not correct because it is an example of a fixed cost. E is not correct because it is an example of a fixed cost.

Look at this sub-question (Q3(b), 2 marks) within the pages below.

ORIGINAL PAPER — PAGES 7, 8, 9 (NOV 2020 PAPER 1)

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3 (a) Which **one** of the following is a characteristic of a sole trader?

(1)

Select **one** answer.

- ☐ A They require a business qualification
- ☐ B They have unlimited liability
- ☐ C They can sell shares to raise finance
- ☐ D They do not employ staff

Figure 1 shows the total costs for a business between May and July.

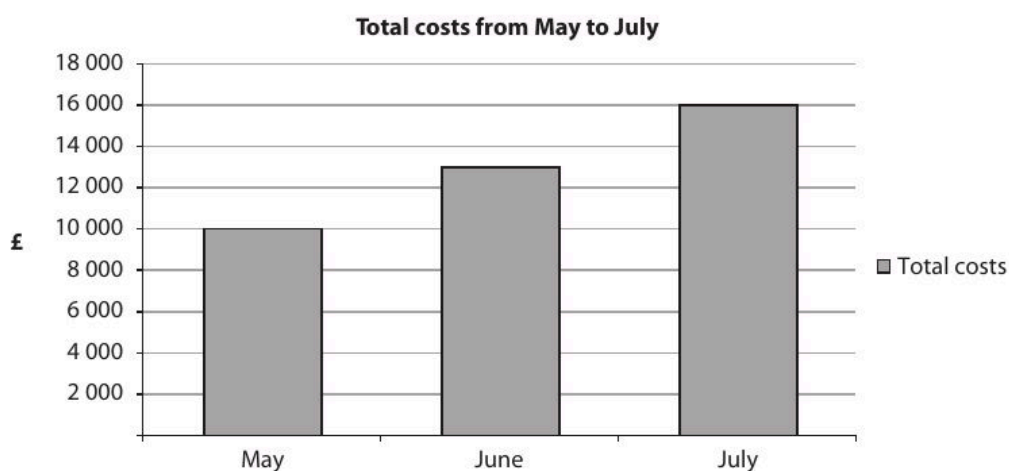


Figure 1

(b) Using the information in Figure 1, calculate the percentage change in total costs between May and July. You are advised to show your workings.

(2)

..... %



7

Turn over ►

(c) Explain **one** reason why new business ideas come about.

(3)

(d) Explain **one** advantage to a small business of using market mapping.

(3)

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(e) Discuss how the decision making of a small business may be affected by increased competition.

(6)

(Total for Question 3 = 15 marks)

TOTAL FOR SECTION A = 35 MARKS



9

Turn over ►

Substitution into correct formula: $(6,000 \div 10,000) \times 100$ (1). Answer: 60% (1). Award full marks for correct numerical answer without working.

Look at this sub-question (Q5(a), 2 marks) within the pages below.

ORIGINAL PAPER — PAGES 13, 14 (NOV 2020 PAPER 1)

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- 5 *On Your Bike* has made the following forecasts for the costs and sales of its bikes for 2021.

	Forecast
Total number of bike sales	2,000
Total revenue	£1 100 000
Variable cost per bike	£350
Fixed costs	£150 000

Table 2

- (a) Using the information in Table 2, calculate the selling price per bike.
You are advised to show your workings.

(2)

£

- (b) Using the information in Table 2, calculate the profit *On Your Bike* is forecast to make from selling bikes in 2021. You are advised to show your workings.

(2)

£



The owners of *On Your Bike* want to lower the break even level of output and have decided to do this by reducing costs.

- (c) Analyse the impact on *On Your Bike* of reducing costs in order to lower its break even level of output.

(6)

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(Total for Question 5 = 10 marks)



Substitution into correct formula: $\pounds 1,100,000 \div 2,000$ (1). Answer: $\pounds 550$ (1). Award full marks for correct numerical answer without working.

Look at this sub-question (Q5(b), 2 marks) within the pages below.

ORIGINAL PAPER — PAGES 13, 14 (NOV 2020 PAPER 1)

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- 5 *On Your Bike* has made the following forecasts for the costs and sales of its bikes for 2021.

	Forecast
Total number of bike sales	2,000
Total revenue	£1 100 000
Variable cost per bike	£350
Fixed costs	£150 000

Table 2

- (a) Using the information in Table 2, calculate the selling price per bike.
You are advised to show your workings.

(2)

£

- (b) Using the information in Table 2, calculate the profit *On Your Bike* is forecast to make from selling bikes in 2021. You are advised to show your workings.

(2)

£



P 6 1 6 4 6 A 0 1 3 2 4

The owners of *On Your Bike* want to lower the break even level of output and have decided to do this by reducing costs.

- (c) Analyse the impact on *On Your Bike* of reducing costs in order to lower its break even level of output.

(6)

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(Total for Question 5 = 10 marks)



Substitution into correct formula: $\pounds 1,100,000 - ((\pounds 350 \times 2,000) + \pounds 150,000)$ (1). Answer: $\pounds 250,000$ (1). Award full marks for correct numerical answer without working.

Look at this sub-question (Q5(c), 6 marks) within the pages below.

ORIGINAL PAPER — PAGES 13, 14 (NOV 2020 PAPER 1)

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- 5 *On Your Bike* has made the following forecasts for the costs and sales of its bikes for 2021.

	Forecast
Total number of bike sales	2,000
Total revenue	£1 100 000
Variable cost per bike	£350
Fixed costs	£150 000

Table 2

- (a) Using the information in Table 2, calculate the selling price per bike.
You are advised to show your workings.

(2)

£

- (b) Using the information in Table 2, calculate the profit *On Your Bike* is forecast to make from selling bikes in 2021. You are advised to show your workings.

(2)

£



P 6 1 6 4 6 A 0 1 3 2 4

The owners of *On Your Bike* want to lower the break even level of output and have decided to do this by reducing costs.

- (c) Analyse the impact on *On Your Bike* of reducing costs in order to lower its break even level of output.

(6)

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(Total for Question 5 = 10 marks)



Indicative content: Reducing costs would allow On Your Bike to make more profit per cycle if the average price remained at £550 (AO2). In order to reduce its costs On Your Bike may have to reduce the amount it spends in employing mechanics and sending them on training courses (AO2). As a result, On Your Bike would need to sell fewer cycles in order to cover its fixed costs and therefore break even (AO3a). This may have a negative effect on the excellent customer service at On Your Bike. This would cause lower demand and the business not reaching a lower break-even point (AO3a). Level 1 (1-2): Limited application of knowledge and understanding of business concepts and issues to the business context (AO2). Attempts to deconstruct business information and/or issues, finding limited connections between points (AO3a). Level 2 (3-4): Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies (AO2). Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies (AO3a). Level 3 (5-6): Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (AO2). Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning (AO3a).

Look at this sub-question (Q2(a), 2 marks) within the pages below.

ORIGINAL PAPER — PAGES 4, 5 (NOV 2021 PAPER 1)

2 (a) Which **two** of the following can be interpreted from a break even diagram?

(2)

Select **two** answers.

- ☐ A Insolvency
- ☐ B Margin of safety
- ☐ C Market share
- ☐ D Net cash flow
- ☐ E Profit

(b) Which **two** of the following are types of technology that could be used by a business?

(2)

Select **two** answers.

- ☐ A Consumer law
- ☐ B Crowd funding
- ☐ C Digital communication
- ☐ D Marketing mix
- ☐ E Payment systems

Table 1 shows the cash-flow forecast for a small business.

(c) Complete the table with the **two** missing figures.

(2)

	May (£)	June (£)
Cash inflows	12 600	13 400
Cash outflows	8 200	9 100
Net cash flow	4 400	(ii)
Opening balance	600	5 000
Closing balance	(i)	9 300

Table 1



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(d) Explain **one** reason why an entrepreneur may adapt an existing product to come up with a new business idea.

(3)

(e) Explain **one** disadvantage to a small business of using a focus group to collect market research data.

(3)

(Total for Question 2 = 12 marks)



P 6 7 6 1 9 A 0 5 2 4

5

Turn over ►

B - Margin of safety; E - Profit

Look at this sub-question (Q3(b), 2 marks) within the pages below.

ORIGINAL PAPER — PAGES 6, 7, 8 (NOV 2021 PAPER 1)

3 (a) Which **one** of the following is a disadvantage of starting a partnership? (1)

Select **one** answer.

- ☐ A Business owners have different skills
- ☐ B Can be easier to raise finance
- ☐ C Business decisions affect all partners
- ☐ D Financial information is kept private

Figure 1 shows the sales revenue of a business from January to April.

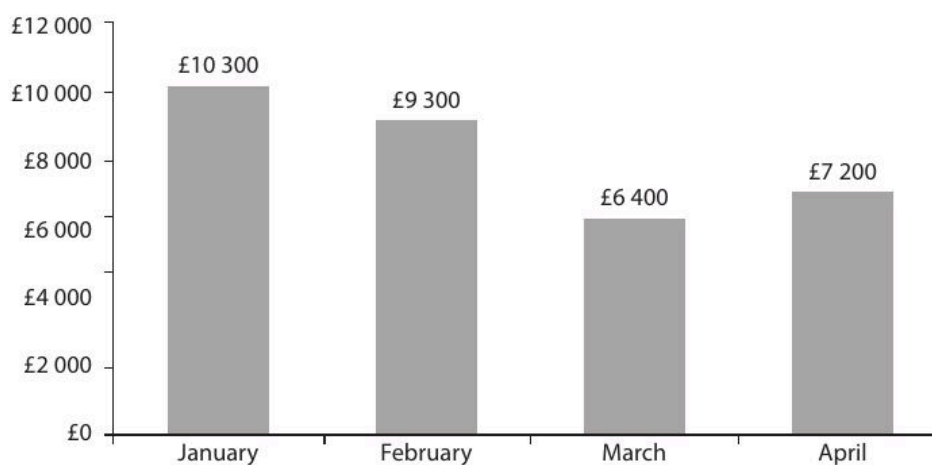


Figure 1

(b) Using the information in Figure 1, calculate, to 2 decimal places, the percentage decrease in sales revenue from January to March. You are advised to show your workings.

(2)

..... %



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(c) Explain **one** disadvantage to a small business of an increase in interest rates.

(3)

(d) Explain **one** disadvantage to a small business of manufacturing a high quality product.

(3)



7

Turn over ►

(e) Discuss the impact on a small business from the introduction of new employment laws.

(6)

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(Total for Question 3 = 15 marks)

TOTAL FOR SECTION A = 35 MARKS



Substitution into correct formula: $((£6\,400 - £10\,300)/£10\,300) \times 100$ (1). Answer: 37.86% or -37.86% (1). Award full marks for correct numerical answer without working.

Look at this sub-question (Q6(a), 1 marks) within the pages below.

ORIGINAL PAPER — PAGES 14, 15, 16 (NOV 2021 PAPER 1)

6 (a) State **one** fixed cost that *Sports Tours Ltd* will need to pay.

(1)

(b) Outline **one** likely impact of changing levels of consumer income on *Sports Tours Ltd*.

(2)

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(9)



Handwriting practice lines for Question 6.

(Total for Question 6 = 12 marks)

TOTAL FOR SECTION B = 30 MARKS

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Award 1 mark for stating one fixed cost that Sports Tours Ltd must pay.

Salaries of the tour operators (1).

Insurance to cover cancellation of tours (1).

Advertising of tours to sports teams (1).

Accept any other appropriate response. Do not accept fixed costs that are not in the context of Sports Tours Ltd. For example, rent for its warehouse.

Look at this sub-question (Q1(a), 1 marks) within the pages below.

ORIGINAL PAPER — PAGES 2, 3 (JUNE 2022 PAPER 1)

SECTION A

Answer ALL questions. Write your answers in the spaces provided.

Some questions must be answered with a cross in a box ☒. If you change your mind about an answer, put a line through the box ☒ and then mark your new answer with a cross ☒.

- 1 (a) Which **one** of the following is an example of a variable cost?

(1)

Select **one** answer.

- ☐ A Insurance
- ☐ B Packaging
- ☐ C Rent
- ☐ D Salaries

- (b) Which **one** of the following could be used to identify a market segment?

(1)

Select **one** answer.

- ☐ A Demographics
- ☐ B Inflation
- ☐ C Marketing mix
- ☐ D Revenue

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(c) Explain **one** risk for an entrepreneur when starting a new business.

(3)

(d) Explain **one** way a small business could add value to a product.

(3)

(Total for Question 1 = 8 marks)



3

Turn over ►

The only correct answer is B – Packaging. A is not correct because it is a fixed cost. C is not correct because it is a fixed cost. D is not correct because it is a fixed cost.

Look at this sub-question (Q2(c), 2 marks) within the pages below.

ORIGINAL PAPER — PAGES 4, 5 (JUNE 2022 PAPER 1)

2 (a) Which **two** of the following are examples of a service?

(2)

Select **two** answers.

- ☐ A Birthday cake
- ☐ B Fitness class
- ☐ C Mobile phone
- ☐ D Newspaper
- ☐ E Train journey

(b) Which **two** of the following are examples of cash inflows?

(2)

Select **two** answers.

- ☐ A Bank loan
- ☐ B Insurance
- ☐ C Raw materials
- ☐ D Receipts
- ☐ E Wages

Table 1 contains information about a small business for one month.

Number of sales	2,700
Variable costs (per unit)	£6
Sales price (per unit)	£20
Break even level of output	1,500

Table 1

(c) Using the information in Table 1, calculate the margin of safety. You are advised to show your workings.

(2)

..... units



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(d) Explain **one** disadvantage to a small business of using an overdraft as a source of business finance.

(3)

(e) Explain **one** impact on a small business of an increase in unemployment.

(3)

(Total for Question 2 = 12 marks)



P 6 5 5 6 1 A 0 5 2 4

5

Turn over ►

Substitution into correct formula: $2,700 - 1,500$ (1). Answer: 1,200 units (1). Award full marks for correct numerical answer without working.

Look at this sub-question (Q3(c), 3 marks) within the pages below.

ORIGINAL PAPER — PAGES 6, 7, 8 (JUNE 2022 PAPER 1)

3 (a) Which **one** of the following is a definition of insolvency?

(1)

Select **one** answer.

- ☐ A A product becoming obsolete
- ☐ B Business failure due to unpaid debts
- ☐ C Generating high levels of revenue
- ☐ D Understanding the business environment

Figure 1 shows the cash-flow of a business from May to August.

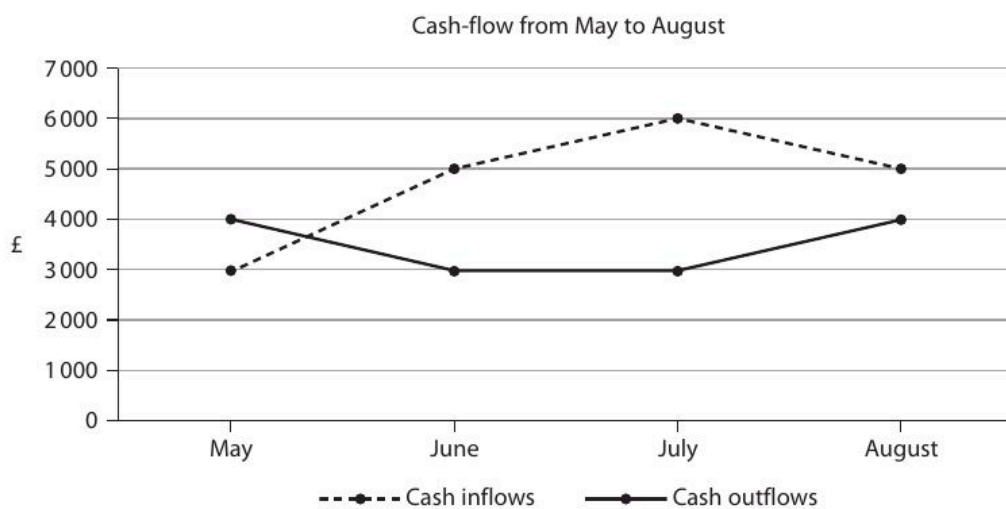


Figure 1

(b) Using the information in Figure 1, calculate the total net cash-flow from May to August. You are advised to show your workings.

(2)

£



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(c) Explain **one** way a small business could reduce its variable costs.

(3)

(d) Explain **one** advantage to a small business of meeting all employment legislation.

(3)



P 6 5 5 6 1 A 0 7 2 4

7

Turn over ►

(e) Discuss how possible conflicts between owners and employees could affect the profit of a small business.

(6)

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(Total for Question 3 = 15 marks)

TOTAL FOR SECTION A = 35 MARKS

8



Award 1 mark for identification of a way of reducing variable costs, plus 2 further marks for explaining this way, up to a total of 3 marks. One way to reduce variable costs is to find a cheaper supplier (1). This means a business will pay less for its raw materials (1). This will lead to a lower cost of production for each unit (1). A business could buy its raw materials in bulk (1). Therefore the business may be given a discount by the supplier (1). This could lead to economies of scale for the business (1). Accept any other appropriate response. Answers that list more than one way with no explanation will be awarded a maximum of 1 mark.

Look at this sub-question (Q7(a), 1 marks) within the pages below.

ORIGINAL PAPER — PAGES 17, 18, 19, 20, 21, 22, 23 (JUNE 2022 PAPER 1)

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SECTION C**Answer ALL questions.****Read the following extract carefully and then answer Question 7.****Write your answers in the spaces provided.**

Digital Allies is a private limited company. It supports clients to create marketing materials that can be used in a wide range of digital communications. This includes online advertising, web design, and digital data analysis to ensure clients are getting the most from their digital communications. It also offers training to businesses on how they could use social media and digital communication to improve their marketing.

The use of social media is something *Digital Allies* believes is becoming a major influence on how customers interact with businesses. It manages marketing campaigns across Facebook, Twitter, Instagram, Snapchat and LinkedIn. This allows its clients to target a wide range of consumers and to analyse these communications on social media to give businesses a competitive advantage over their rivals.

In February 2019, *Digital Allies* announced a three-year expansion plan which involved doubling its workforce to 40 employees and moving to new offices. The business believed that this move would allow it to employ people with the most up-to-date knowledge and to become one of the main digital marketing companies in the UK.

**Delivering new audiences
through digital.**

(Source: adapted from <https://digitalallies.co.uk>)

**17****Turn over ►**

- 7 (a) State **one** source of revenue for *Digital Allies*.

(1)

Figure 2 shows the number of social media accounts in the UK in 2019.

Number of social media accounts (millions)

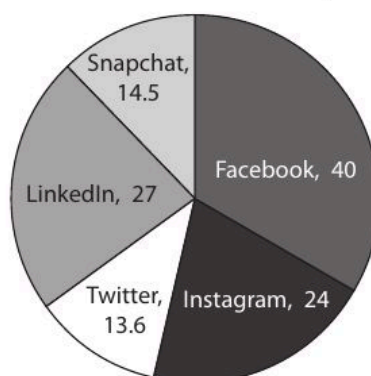


Figure 2

(Source: adapted from <https://www.avocadosocial.com/latest-social-media-statistics-and-demographics-for-the-uk-in-2019/>)

- (b) Using the information in Figure 2, identify which social media platform was the second largest in the UK in 2019.

(1)





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(c) Outline **one** impact on the owners of *Digital Allies* from being a private limited company.

(2)

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P 6 5 5 6 1 A 0 1 9 2 4



In order to help improve digital marketing for a local university, *Digital Allies* is considering two options:

Option 1: improve the design of the university website

Option 2: design a social media campaign to target new students.

(d) Justify which **one** of these two options *Digital Allies* should choose.

(9)

Handwriting practice lines for the answer.

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Handwriting practice lines consisting of six horizontal dotted lines within a rectangular box.



21

Turn over ►

(e) Evaluate the impact that changes in technology may have on *Digital Allies*.
You should use the information provided as well as your knowledge of business.

(12)

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(Total for Question 7 = 25 marks)

TOTAL FOR SECTION C = 25 MARKS
TOTAL FOR PAPER = 90 MARKS

23



P 6 5 5 6 1 A 0 2 3 2 4

Award one mark for stating one source of revenue for Digital Allies. Sales income from web design (1). Fees for attending training courses (1). Consultancy fees from digital marketing campaigns (1). To award 1 mark there must be evidence of application.

Look at this sub-question (Q2(c), 2 marks) within the pages below.

ORIGINAL PAPER — PAGES 4, 5 (JUNE 2023 PAPER 1)

2 (a) Which **two** of the following are examples of customer needs?

(2)

Select **two** answers.

- ☐ A Choice
- ☐ B Profit
- ☐ C Quality
- ☐ D Risk
- ☐ E Taxation

(b) Which **two** of the following are roles of an entrepreneur?

(2)

Select **two** answers.

- ☐ A Going to university
- ☐ B Organising resources
- ☐ C Personal satisfaction
- ☐ D Taking risks
- ☐ E To be a sole trader

Table 1 contains information about a small business.

Fixed costs	£10 000
Variable cost	£2.50 per unit
Selling price	£5.00 per unit
Break even level of output	4,000 units

Table 1

The business increases the selling price of its product to £6.50 per unit.

(c) Using the information in Table 1, calculate the decrease in the break even level of output. You are advised to show your workings.

(2)

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(d) Explain **one** way a small business could become more competitive.

(3)

(e) Explain **one** advantage to a small business of meeting its legal obligations.

(3)

(Total for Question 2 = 12 marks)



5

Turn over ►

Substitution into correct formula: $\text{£}10\,000 \div (\text{£}6.50 - \text{£}2.50) = 2,500$ units. Decrease = $4,000 - 2,500$ (1).
Answer: 1,500 units (1). Award full marks for correct numerical answer without working.

Look at this sub-question (Q3(b), 2 marks) within the pages below.

ORIGINAL PAPER — PAGES 6, 7, 8 (JUNE 2023 PAPER 1)

3 (a) Which **one** of the following could a small business use to add value?

(1)

Select **one** answer.

- ☐ A Locate in a convenient place
- ☐ B Pay a higher rate of taxation
- ☐ C Reduce its cash inflows
- ☐ D Use a long-term source of finance

Figure 1 shows the number of units sold per month by a business from February to April. The selling price for each unit was £5.20

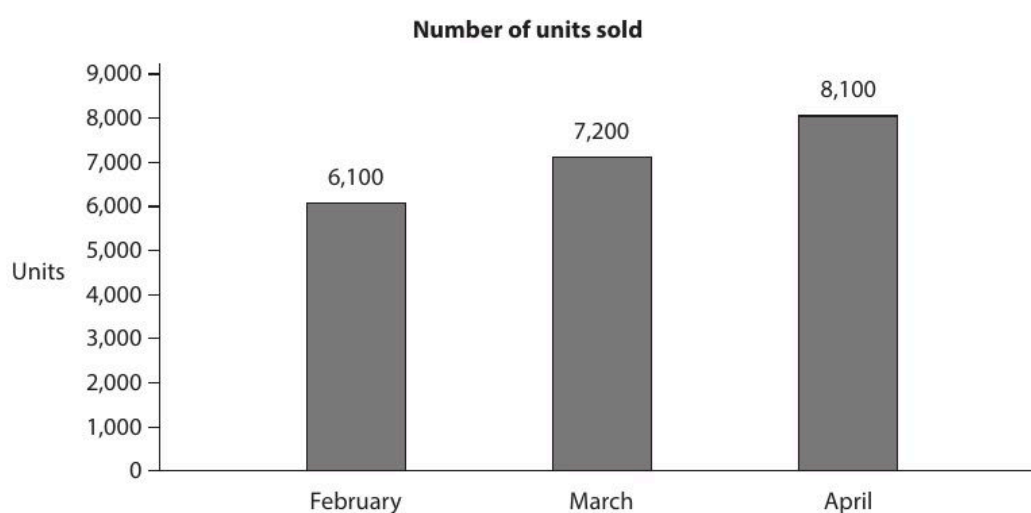


Figure 1

(b) Using the information in Figure 1, calculate the revenue for March. You are advised to show your workings.

(2)

£



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(c) Explain **one** disadvantage to a small business of not paying its employees on time.

(3)

(d) Explain **one** advantage to a small business from using retained profit as a source of finance.

(3)



7

Turn over ►

(e) Discuss the impact on a small business from adapting existing products to develop new business ideas.

(6)

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(Total for Question 3 = 15 marks)

TOTAL FOR SECTION A = 35 MARKS

8



Substitution into correct formula: $\text{£}5.20 \times 7,200$ (1). Answer: $\text{£}37\,440$ (1). Award full marks for correct numerical answer without working.

Look at this sub-question (Q2(c), 2 marks) within the pages below.

ORIGINAL PAPER — PAGES 4, 5 (JUNE 2024 PAPER 1)

2 (a) Which **two** of the following could be used to collect secondary market research?

(2)

Select **two** answers.

- ☐ A Focus group
- ☐ B Internet
- ☐ C Market reports
- ☐ D Observation
- ☐ E Survey

(b) Which **two** of the following are covered by employment law?

(2)

Select **two** answers.

- ☐ A Consumer rights
- ☐ B Discrimination
- ☐ C Health and safety
- ☐ D Product quality
- ☐ E Taxation

Table 1 contains information for a small business.

Fixed costs	£7 500
Variable cost	£2 per unit
Selling price	£6 per unit
Output	5,000 units

Table 1

(c) Using the information in Table 1, calculate the total costs for the small business.
You are advised to show your workings.

(2)

£.....



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(d) Explain **one** disadvantage to a small business from using retained profit for expansion.

(3)

(e) Explain **one** advantage of opening up a business as a franchise.

(3)

(Total for Question 2 = 12 marks)



5

Turn over ►

Substitution into correct formula: $\pounds 7\,500 + (5,000 \times \pounds 2)$ (1). Answer: $\pounds 17\,500$ (1). Award full marks for correct numerical answer without working.

Look at this sub-question (Q3(b), 2 marks) within the pages below.

ORIGINAL PAPER — PAGES 6, 7, 8 (JUNE 2024 PAPER 1)

3 (a) Which **one** of the following is a financial aim for a new business?

(1)

Select **one** answer.

- ☐ A Challenge
- ☐ B Independence
- ☐ C Personal satisfaction
- ☐ D Survival

Figure 1 shows the number of units sold by a business each month from June to August. The break even level of output for each month was 5,000.

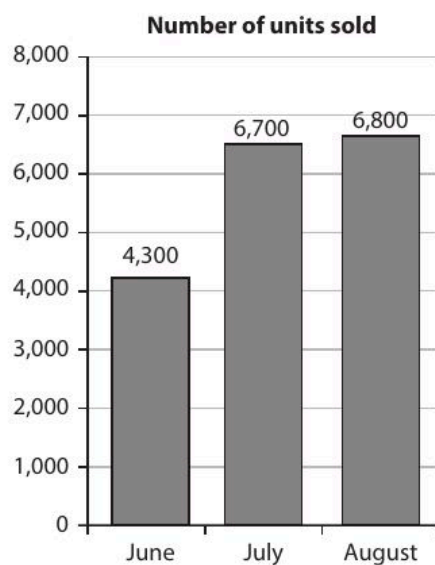


Figure 1

(b) Using the information in Figure 1, calculate the margin of safety for August. You are advised to show your workings.

(2)

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(c) Explain **one** disadvantage to a small business from an increase in unemployment.

(3)

(d) Explain **one** advantage to a small business from using e-commerce.

(3)



7

Turn over ►

(e) Discuss the way a small business could use branding to add value.

(6)

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(Total for Question 3 = 15 marks)

TOTAL FOR SECTION A = 35 MARKS

8



Substitution into correct formula: $6,800 - 5,000$ (1). Answer: 1,800 units (1). Award full marks for correct numerical answer without working.

Look at this sub-question (Q5(a), 2 marks) within the pages below.

ORIGINAL PAPER — PAGES 11, 12, 26 (JUNE 2024 PAPER 1)

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- 5 Table 2 shows how many pairs of trainers were customised by *Adikoggz* from July to December 2022.

	Pairs of trainers
July	52
August	61
September	47
October	34
November	52
December	72

Table 2

- (a) Using the information in Table 2, calculate the average number of trainers customised per month from July to December 2022. You are advised to show your workings.

(2)

..... pairs

- (b) Using the information in Table 2, calculate, to 2 decimal places, the percentage change in sales from November to December 2022.

(2)

..... %



P 7 5 5 2 5 A 0 1 1 2 4

11

Turn over ►

(c) Analyse the advantage to *Adikoggz* from using social media to promote its products.

(6)

Handwriting practice lines for the answer.

(Total for Question 5 = 10 marks)

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SECTION B

Look at Figure 2 and read Extract A, then answer Questions 4, 5 and 6.

Extract A

Adikoggz is a small business based in Leeds. It offers the customising of trainers. It was set up by Keilan Kogut in 2018. The business designs personalised trainers including those associated with the colours and images of football teams or music bands. Customers can either supply their own trainers to be customised or pay *Adikoggz* to source and design a new pair of trainers to meet their needs. *Adikoggz* charges up to £200 for a new pair of customised trainers. It also offers a service to deep clean trainers. The price for this is £20.



(Source: © Jonathan Day / Alamy Stock Photo)

Figure 2

The business started as a hobby but after showing off the designs on social media platforms such as Facebook and Instagram, Keilan started to receive follower requests asking him to customise or source unique styles of trainers. This gave him the inspiration to start *Adikoggz* and the business now receives orders from all over the world.

Keilan still carries out much of the work himself, but the growing number of orders has led him to struggle to keep up with demand. He now employs four people to help him with customisations. However, he still feels that the USP of *Adikoggz* is the personalised service it offers and that every customer will receive a unique product at the end of the process.

(Source: adapted from <https://www.adikoggz.com/> and <https://www.facebook.com/adikoggz>)



Substitution into correct formula: $(52+61+47+34+52+72) \div 6$ (1). Answer: 53 pairs (1). Award full marks for correct numerical answer without working.

Look at this sub-question (Q5(b), 2 marks) within the pages below.

ORIGINAL PAPER — PAGES 11, 12, 26 (JUNE 2024 PAPER 1)

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- 5 Table 2 shows how many pairs of trainers were customised by *Adikoggz* from July to December 2022.

	Pairs of trainers
July	52
August	61
September	47
October	34
November	52
December	72

Table 2

- (a) Using the information in Table 2, calculate the average number of trainers customised per month from July to December 2022. You are advised to show your workings.

(2)

..... pairs

- (b) Using the information in Table 2, calculate, to 2 decimal places, the percentage change in sales from November to December 2022.

(2)

..... %



P 7 5 5 2 5 A 0 1 1 2 4

11

Turn over ►

(c) Analyse the advantage to *Adikoggz* from using social media to promote its products.

(6)

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(Total for Question 5 = 10 marks)



SECTION B

Look at Figure 2 and read Extract A, then answer Questions 4, 5 and 6.

Extract A

Adikoggz is a small business based in Leeds. It offers the customising of trainers. It was set up by Keilan Kogut in 2018. The business designs personalised trainers including those associated with the colours and images of football teams or music bands. Customers can either supply their own trainers to be customised or pay *Adikoggz* to source and design a new pair of trainers to meet their needs. *Adikoggz* charges up to £200 for a new pair of customised trainers. It also offers a service to deep clean trainers. The price for this is £20.



(Source: © Jonathan Day / Alamy Stock Photo)

Figure 2

The business started as a hobby but after showing off the designs on social media platforms such as Facebook and Instagram, Keilan started to receive follower requests asking him to customise or source unique styles of trainers. This gave him the inspiration to start *Adikoggz* and the business now receives orders from all over the world.

Keilan still carries out much of the work himself, but the growing number of orders has led him to struggle to keep up with demand. He now employs four people to help him with customisations. However, he still feels that the USP of *Adikoggz* is the personalised service it offers and that every customer will receive a unique product at the end of the process.

(Source: adapted from <https://www.adikoggz.com/> and <https://www.facebook.com/adikoggz>)



Substitution into correct formula: $(20 \div 52) \times 100$ (1). Answer: 38.46% (1). Award full marks for correct numerical answer without working.

Look at this sub-question (Q7(a), 1 marks) within the pages below.

ORIGINAL PAPER — PAGES 16, 17, 18, 19, 20, 21, 27 (JUNE 2024 PAPER 1)

SECTION C

Answer ALL questions. Write your answers in the spaces provided.

In the Source Booklet, look at Figure 3 and read Extract B, then answer Question 7.

- 7 (a) State **one** example of a fixed cost for PFC.

(1)

Table 3 shows the % of the local population that has a gym membership in different regions of the UK.

Region	% membership
Scotland	15%
North east	15%
North west	16%
Yorkshire	16%
East Midlands	12%
West Midlands	13%
Wales	13%
South west	10%
South east	13%
London	18%

(Source: adapted from Yougov survey 2022)

Table 3

- (b) Using the information in Table 3, identify which region had the lowest level of gym membership in the UK.

(1)





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(c) Outline **one** factor that could have influenced the location of *PFC*.

(2)

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P 7 5 5 2 5 A 0 1 7 2 4

17

Turn over ►

In order to increase the number of new members at *PFC*, the owner is considering two options:

Option 1: reducing the price of membership

Option 2: providing an individual fitness plan for all new members.

- (d) Justify which **one** of these two options would have the bigger impact on new membership at *PFC*.

(9)

Handwriting practice lines for the response area.

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Handwriting practice lines consisting of six horizontal dotted lines.



19

Turn over ►

(e) Evaluate the importance of the level of consumer income to the success of *PFC*.
You should use the information provided as well as your knowledge of business.

(12)

Handwriting practice area with 20 horizontal lines.

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(Total for Question 7 = 25 marks)

TOTAL FOR SECTION C = 25 MARKS
TOTAL FOR PAPER = 90 MARKS



SECTION C

Look at Figure 3 and read Extract B, then answer Question 7.

Extract B



(Source: © Stefan Dahl Langstrup / Alamy Stock Photo)

Figure 3

Performance Fitness Centre (PFC) is an independent gym and fitness studio. It has been open for seven years and has over 200 members. Members pay a fee of £39 per month for unlimited access to the gym and fitness classes that take place five days per week. Non-members can also pay to use the gym for each individual session they attend.

The gym at *PFC* is stocked with high specification equipment and weight machines. As a result, it has become very popular with customers interested in maintaining a high level of personal fitness. It has an equal number of male and female customers, but the owner has noticed that there is a lower number of members from people aged over 50. He believes that this may be because they feel out of place amongst the younger membership.

Over the past year a new gym that is part of a large national chain has opened nearby. It is much larger and membership fees at the new gym are only £19 per month. *PFC* has seen a reduction in new members joining the gym and is now considering what it can do to compete with its larger and cheaper rival. Its current members are loyal and enjoy the high quality offered at *PFC*.

P75525A

3

Award one mark for stating one fixed cost for PFC. Rent for the gym premises (1). Advertising to attract new members (1). Salaries for gym instructors (1). To award 1 mark there must be evidence of application.

1.3.3 Cash and cash-flow (15 questions)

Specimen SAMs · Paper 1 · Q2(c)(i) · \$A

Complete

1 marks

Look at this sub-question (Q2(c)(i), 1 marks) within the pages below.

MARK SCHEME ANSWER FOR Q2(C)(I)

7,230. Do not accept any other answer.

Specimen SAMs · Paper 1 · Q2(c)(ii) · \$A

Complete

1 marks

Look at this sub-question (Q2(c)(ii), 1 marks) within the pages below.

MARK SCHEME ANSWER FOR Q2(C)(II)

11,680. Do not accept any other answer.

Look at this sub-question (Q3(a), 1 marks) within the pages below.

ORIGINAL PAPER — PAGES 7, 8, 9 (JUNE 2019 PAPER 1)

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3 (a) Which **one** of the following is an example of a cash outflow for a small business?

Select **one** answer.

(1)

- ☐ A Bank loan
- ☐ B Personal savings
- ☐ C Raw materials
- ☐ D Receipts

Figure 1 shows information about the financial performance of a business from January to March.

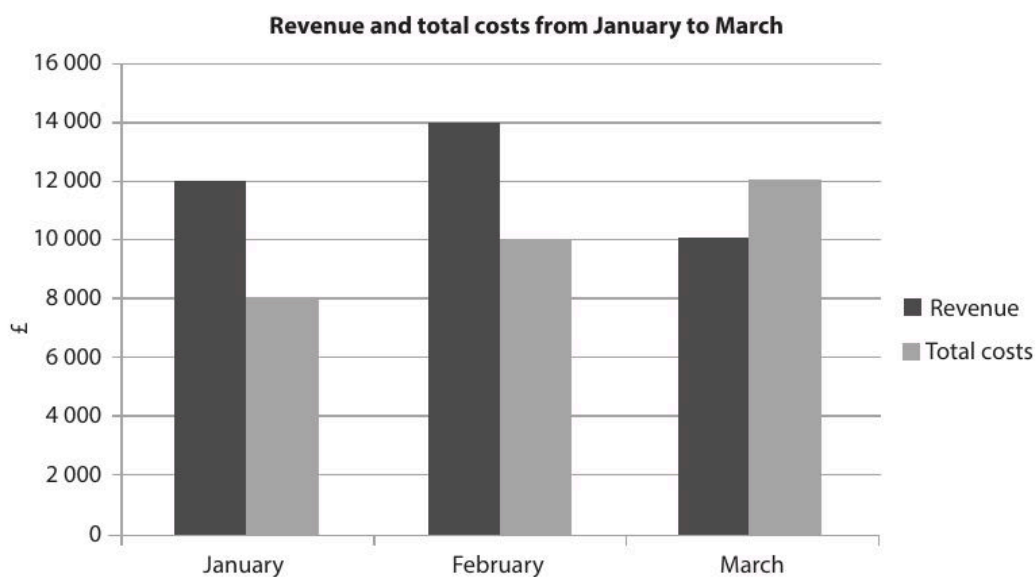


Figure 1

(b) Using the information in Figure 1, calculate the total profit for the period January to March. You are advised to show your workings.

(2)

£



7

Turn over ►

(c) Explain **one** benefit to a small business of understanding customer needs.

(3)

(d) Explain **one** reason why it is important to include financial information in a business plan.

(3)

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(e) Discuss the importance of cash to the survival of a small business.

(6)

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(Total for Question 3 = 15 marks)

TOTAL FOR SECTION A = 35 MARKS



P 5 9 9 2 5 A 0 9 2 4

9

Turn over ►

C - Raw materials (1)

Look at this sub-question (Q3(e), 6 marks) within the pages below.

ORIGINAL PAPER — PAGES 7, 8, 9 (JUNE 2019 PAPER 1)

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3 (a) Which **one** of the following is an example of a cash outflow for a small business?

Select **one** answer.

(1)

- ☐ A Bank loan
- ☐ B Personal savings
- ☐ C Raw materials
- ☐ D Receipts

Figure 1 shows information about the financial performance of a business from January to March.

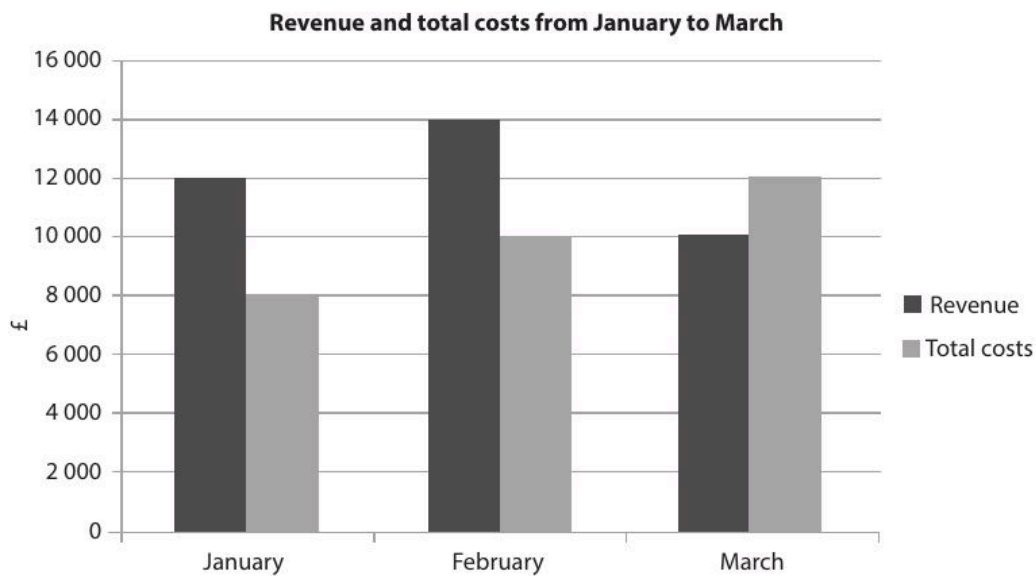


Figure 1

(b) Using the information in Figure 1, calculate the total profit for the period January to March. You are advised to show your workings.

(2)

£



7

Turn over ►

(c) Explain **one** benefit to a small business of understanding customer needs.

(3)

(d) Explain **one** reason why it is important to include financial information in a business plan.

(3)

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(e) Discuss the importance of cash to the survival of a small business.

(6)

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(Total for Question 3 = 15 marks)

TOTAL FOR SECTION A = 35 MARKS



9

Turn over ►

Indicative content: Having access to cash will allow the business to pay its suppliers on time (AO1b). Having a positive net cash flow will prevent insolvency in a small business (AO1b). If a business fails to pay its suppliers on time then they will lose trust and will not allow the business to purchase goods using credit (AO3a). Without cash a business will struggle to pay running costs such as wages and rent. This could cause the business to close down (AO3a). Level 1 (1-2 marks): Demonstrates elements of knowledge and understanding of business concepts and issues, with limited business terminology used (AO1b). Attempts to deconstruct business information and/or issues, finding limited connections between points (AO3a). Level 2 (3-4 marks): Demonstrates mostly accurate knowledge and understanding of business concepts and issues, including appropriate use of business terminology in places (AO1b). Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies (AO3a). Level 3 (5-6 marks): Demonstrates accurate knowledge and understanding of business concepts and issues throughout, including appropriate use of business terminology (AO1b). Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning (AO3a).

Look at this sub-question (Q2(c), 2 marks) within the pages below.

ORIGINAL PAPER — PAGES 4, 5, 6 (NOV 2020 PAPER 1)

2 (a) Which **two** of the following are examples of secondary market research?

(2)

Select **two** answers.

- ☐ A Focus group
- ☐ B Internet
- ☐ C Market report
- ☐ D Observation
- ☐ E Survey

(b) Which **two** of the following are examples of variable costs?

(2)

Select **two** answers.

- ☐ A Advertising
- ☐ B Insurance
- ☐ C Packaging
- ☐ D Raw materials
- ☐ E Rent

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Table 1 contains information about cash payments of a small business in one month. The business sold 200 units in this month. All customers paid in cash.

Selling price	£15
Rent	£500
Wages	£1 000
Advertising	£150

Table 1

- (c) Using the information in Table 1, calculate the net cash flow for this month. You are advised to show your workings.

(2)

£

- (d) Explain **one** disadvantage of starting a small business as a partnership.

(3)

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Turn over ►

(e) Explain **one** way the marketing mix of a small business may change due to changing consumer needs.

(3)

(Total for Question 2 = 12 marks)

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Substitution into correct formula: Cash inflows = $200 \times £15 = £3,000$. Cash outflows = $£500 + £1,000 + £150 = £1,650$. Net cash flow = $£3,000 - £1,650 = £1,350$ (1). Answer: £1,350 (1). Award full marks for correct numerical answer without working.

Look at this sub-question (Q4(a), 2 marks) within the pages below.

ORIGINAL PAPER — PAGES 10, 11, 12 (NOV 2020 PAPER 1)

SECTION B

Answer ALL questions.

Read the following extract before answering Questions 4, 5 and 6.

Write your answers in the spaces provided.

On Your Bike is a family owned business that first opened in London in 1983. Its customers include children buying their first bikes and scooters, through to experienced enthusiasts in road cycling and mountain biking.

The business offers a wide range of bikes, many imported from abroad. These include high quality brands such as Brompton, Cannondale and Ridgeback. It also stocks a wide range of clothing and helmets including brands such as Endura and Altura.



(Source: © Ramon Espelt Photography/Shutterstock)

On Your Bike has large workshop facilities in its shop where qualified mechanics maintain and repair all makes of bike. All mechanics go on regular training courses to ensure they keep their skills and knowledge up to date with the latest cycling technology. This allows *On Your Bike* to offer exceptional customer service and advice.

The cycling market has grown over recent years. Market research has shown that an increasing number of tourists like to rent bikes when on holiday. In response to this, *On Your Bike* operates one of the largest bike rental services in London. Bikes can be hired by the day or week with a choice including road and electric bikes.

Figure 2 shows a customer review from a comparison website.

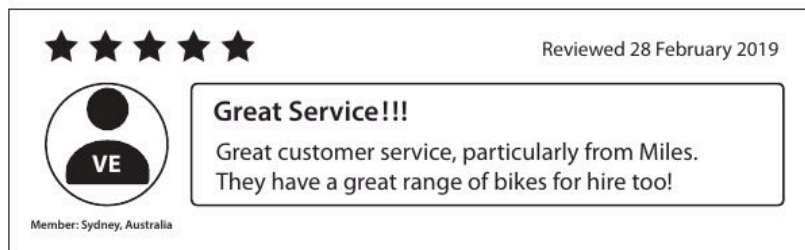


Figure 2



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4 (a) Outline **one** reason why cash would be important to *On Your Bike*.

(2)



11

Turn over ►

(b) Analyse the impact on *On Your Bike* of customers using social media to review the business.

(6)

Handwriting practice lines for the answer.

(Total for Question 4 = 8 marks)

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Award up to 2 marks for linked points outlining a reason why cash is important to On Your Bike. Award a maximum of 1 mark if points are not linked. Cash will allow On Your Bike to pay its suppliers (1). This may ensure it can continue to stock a wide range of cycles (1). On Your Bike could use cash to pay its employees (1). If it can't pay the mechanics, the correct pay they may leave for another cycle shop (1). Do not accept a reason that would not be appropriate for On Your Bike. For example, cash would be important for buying raw materials.

Look at this sub-question (Q1(c), 3 marks) within the pages below.

ORIGINAL PAPER — PAGES 2, 3 (NOV 2021 PAPER 1)

SECTION A

Answer ALL questions. Write your answers in the spaces provided.

Some questions must be answered with a cross in a box ☒. If you change your mind about an answer, put a line through the box ☒ and then mark your new answer with a cross ☒.

- 1** (a) Which **one** of the following is a long-term source of finance?

(1)

Select **one** answer.

- ☐ **A** Overdraft
- ☐ **B** Revenue
- ☐ **C** Trade credit
- ☐ **D** Venture capital

- (b) Which **one** of the following could be used to identify customer needs?

(1)

Select **one** answer.

- ☐ **A** Business idea
- ☐ **B** Business objectives
- ☐ **C** Market research
- ☐ **D** Marketing mix

- (c) Explain **one** drawback to a business of having low levels of cash.

(3)

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(d) Explain **one** way an entrepreneur can reduce the risk of failure when starting a new business.

(3)

(Total for Question 1 = 8 marks)



3

Turn over ►

Award 1 mark for identification of a drawback, plus 2 further marks for explaining this drawback up to a total of 3 marks.

A business with low levels of cash may not be able to pay suppliers (1). This would damage relationships with suppliers (1), which means the business may not have sufficient levels of raw materials (1).

A business may not be able to pay its employee wages or salaries (1). This is bad because employees may leave the business to find work elsewhere (1). This will lead to increased labour turnover (1).

Accept any other appropriate response. Answers that list more than one drawback with no explanation will be awarded a maximum of 1 mark.

Look at this sub-question (Q2(c), 2 marks) within the pages below.

ORIGINAL PAPER — PAGES 4, 5 (NOV 2021 PAPER 1)

2 (a) Which **two** of the following can be interpreted from a break even diagram?

(2)

Select **two** answers.

- ☐ A Insolvency
- ☐ B Margin of safety
- ☐ C Market share
- ☐ D Net cash flow
- ☐ E Profit

(b) Which **two** of the following are types of technology that could be used by a business?

(2)

Select **two** answers.

- ☐ A Consumer law
- ☐ B Crowd funding
- ☐ C Digital communication
- ☐ D Marketing mix
- ☐ E Payment systems

Table 1 shows the cash-flow forecast for a small business.

(c) Complete the table with the **two** missing figures.

(2)

	May (£)	June (£)
Cash inflows	12 600	13 400
Cash outflows	8 200	9 100
Net cash flow	4 400	(ii)
Opening balance	600	5 000
Closing balance	(i)	9 300

Table 1



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(d) Explain **one** reason why an entrepreneur may adapt an existing product to come up with a new business idea.

(3)

(e) Explain **one** disadvantage to a small business of using a focus group to collect market research data.

(3)

(Total for Question 2 = 12 marks)



P 6 7 6 1 9 A 0 5 2 4

5

Turn over ►

(i) 5 000; (ii) 4 300

Look at this sub-question (Q7(a), 1 marks) within the pages below.

ORIGINAL PAPER — PAGES 17, 18, 19, 20, 21, 22, 23 (NOV 2021 PAPER 1)

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SECTION C**Answer ALL questions.****Read the following extract carefully and then answer Question 7.****Write your answers in the spaces provided.**

(Source: N 454 R/Shutterstock)



(Source: Flat_Enot/Shutterstock)



(Source: OnD/Shutterstock)

That Feeling is a unique barber shop in Potters Bar, Hertfordshire. Its owner, Justin Carr, started the business, aged 25, because of his passion for being a barber. When he left school after his GCSEs he was advised to follow a different career path. However, he wanted to work in a creative industry. This ambition led him to opening a barber shop where his regular customers include England international footballers such as Kyle Walker, Kieran Trippier and Dele Alli.

The unique nature of *That Feeling* not only comes from the high quality haircuts but also from the way it looks after its customers. They can play on arcade games and get drinks whilst waiting for their appointment. The shop also sells *That Feeling* branded clothes and vintage glasses frames.

When asked about his business objectives Justin was very clear that non-financial objectives are crucial. Justin stated:

'It is important to be passionate about what you do and always try to be the best you can. The financial rewards of running a business will come if you get the other things right.'

Justin now acts as a mentor to staff members at *That Feeling* by giving help and advice about their career. Most of the employees are aged between 19 and 22. Justin feels that if they are given the opportunity to develop their skills they will bring new ideas and creativity to the business.

(Source: adapted from <https://thatfeeling.co.uk/> and interview with Justin Carr 29/05/2019)



17

Turn over ►

7 (a) State **one** example of a cash outflow for *That Feeling*.

(1)

Figure 2 shows the age of entrepreneurs starting businesses in the UK since 2000.

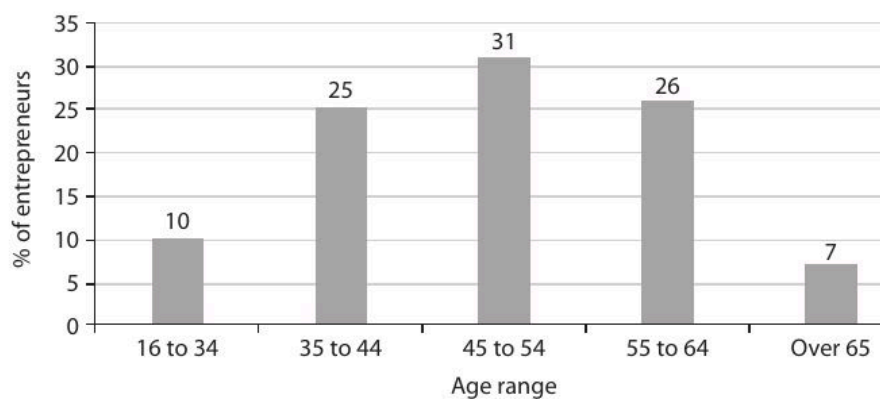


Figure 2

(Source: adapted from <https://startups.co.uk/the-average-entrepreneur/>)

(b) Using the information in Figure 2, identify what percentage of entrepreneurs were in the same age range as Justin when he started *That Feeling*.

(1)



(c) Outline **one** benefit to employees at *That Feeling* from being mentored by Justin.

(2)

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P 6 7 6 1 9 A 0 1 9 2 4

19

Turn over ►

In order to improve its brand awareness, *That Feeling* is considering two options:

Option 1: increase its range of own brand clothing

Option 2: open a second shop.

(d) Justify which **one** of these two options *That Feeling* should choose.

(9)

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21

Turn over ►

(e) Evaluate the importance of achieving non-financial objectives for the success of *That Feeling*. You should use the information provided as well as your knowledge of business

(12)

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(Total for Question 7 = 25 marks)

TOTAL FOR SECTION C = 25 MARKS
TOTAL FOR PAPER = 90 MARKS



P 6 7 6 1 9 A 0 2 3 2 4

Award 1 mark for stating one cash outflow for That Feeling.

Rent for the barber shop premises (1).

Raw materials/stock of hair products (1).

The cost of the vintage glasses frames (1).

Accept any other appropriate response. Do not accept an outflow that is not in the context of That Feeling. For example, transport costs.

Look at this sub-question (Q2(b), 2 marks) within the pages below.

ORIGINAL PAPER — PAGES 4, 5 (JUNE 2022 PAPER 1)

2 (a) Which **two** of the following are examples of a service?

(2)

Select **two** answers.

- ☐ A Birthday cake
- ☐ B Fitness class
- ☐ C Mobile phone
- ☐ D Newspaper
- ☐ E Train journey

(b) Which **two** of the following are examples of cash inflows?

(2)

Select **two** answers.

- ☐ A Bank loan
- ☐ B Insurance
- ☐ C Raw materials
- ☐ D Receipts
- ☐ E Wages

Table 1 contains information about a small business for one month.

Number of sales	2,700
Variable costs (per unit)	£6
Sales price (per unit)	£20
Break even level of output	1,500

Table 1

(c) Using the information in Table 1, calculate the margin of safety. You are advised to show your workings.

(2)

..... units



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(d) Explain **one** disadvantage to a small business of using an overdraft as a source of business finance.

(3)

(e) Explain **one** impact on a small business of an increase in unemployment.

(3)

(Total for Question 2 = 12 marks)



P 6 5 5 6 1 A 0 5 2 4

5

Turn over ►

The only correct answers are A – Bank loan and D – Receipts. B is not correct because it is an example of a cash outflow. C is not correct because it is an example of a cash outflow. E is not correct because it is an example of a cash outflow.

Look at this sub-question (Q3(a), 1 marks) within the pages below.

ORIGINAL PAPER — PAGES 6, 7, 8 (JUNE 2022 PAPER 1)

3 (a) Which **one** of the following is a definition of insolvency?

(1)

Select **one** answer.

- ☐ A A product becoming obsolete
- ☐ B Business failure due to unpaid debts
- ☐ C Generating high levels of revenue
- ☐ D Understanding the business environment

Figure 1 shows the cash-flow of a business from May to August.

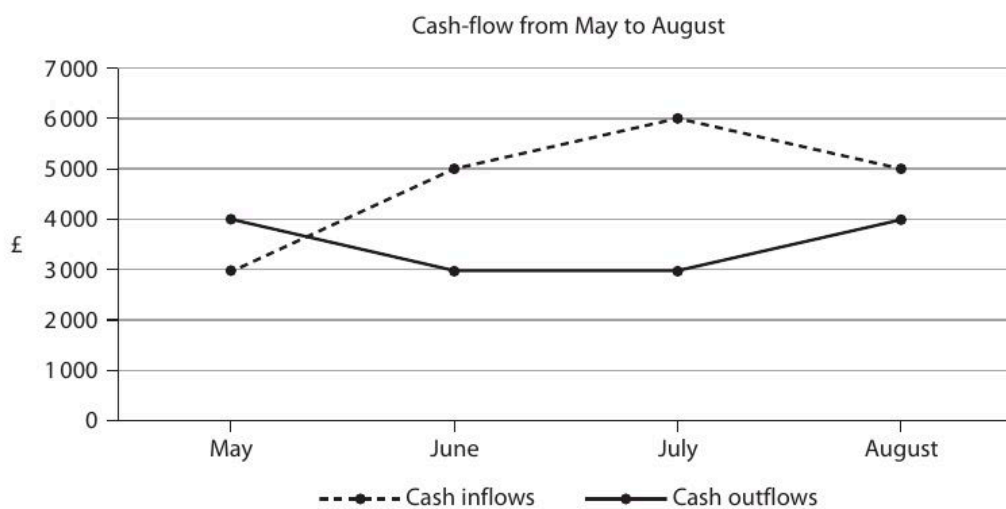


Figure 1

(b) Using the information in Figure 1, calculate the total net cash-flow from May to August. You are advised to show your workings.

(2)

£



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(c) Explain **one** way a small business could reduce its variable costs.

(3)

(d) Explain **one** advantage to a small business of meeting all employment legislation.

(3)



7

Turn over ►

(e) Discuss how possible conflicts between owners and employees could affect the profit of a small business.

(6)

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(Total for Question 3 = 15 marks)

TOTAL FOR SECTION A = 35 MARKS

8



The only correct answer is B – Business failure due to unpaid debts. A is not correct because it is a reason why new business ideas come about. C is not correct because it is a business objective. D is not correct because it is the factors that affects a business.

Look at this sub-question (Q3(b), 2 marks) within the pages below.

ORIGINAL PAPER — PAGES 6, 7, 8 (JUNE 2022 PAPER 1)

3 (a) Which **one** of the following is a definition of insolvency?

(1)

Select **one** answer.

- ☐ A A product becoming obsolete
- ☐ B Business failure due to unpaid debts
- ☐ C Generating high levels of revenue
- ☐ D Understanding the business environment

Figure 1 shows the cash-flow of a business from May to August.

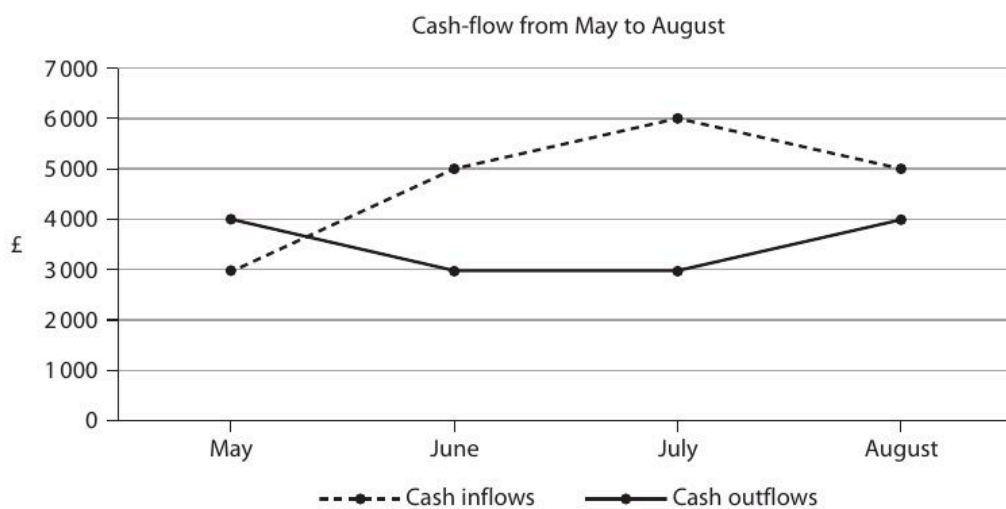


Figure 1

(b) Using the information in Figure 1, calculate the total net cash-flow from May to August. You are advised to show your workings.

(2)

£



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(c) Explain **one** way a small business could reduce its variable costs.

(3)

(d) Explain **one** advantage to a small business of meeting all employment legislation.

(3)



7

Turn over ►

(e) Discuss how possible conflicts between owners and employees could affect the profit of a small business.

(6)

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(Total for Question 3 = 15 marks)

TOTAL FOR SECTION A = 35 MARKS

8



Substitution into correct formula: $(£1\ 000) + £2\ 000 + £3\ 000 + £1\ 000$ (1). Answer: £5 000 (1). Award full marks for correct numerical answer without working.

Look at this sub-question (Q5(a), 2 marks) within the pages below.

ORIGINAL PAPER — PAGES 11, 12, 13, 26 (JUNE 2023 PAPER 1)

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- 5 Table 2 shows forecasts from the business plan for month one of *Lili Heating Ltd*.

Cash inflows	Cash outflows	Opening balance
£8 600	£11 000	£4 000

Table 2

- (a) Using the information in Table 2, calculate *Lili Heating Ltd*'s forecasted closing balance at the end of month one. You are advised to show your workings.

(2)

£



P 7 1 0 3 6 A 0 1 1 2 4

11

Turn over ►

As part of her market research Amelia collected quantitative research from the Birmingham City Council website. Some of this information can be seen in Table 3.

BIRMINGHAM			
2019 Population by five-year age groups			
Age	Males	Females	Total
30–34	41,500	41,200	82,700
35–39	37,600	38,600	76,200
40–44	33,300	33,700	67,000
45–49	33,000	33,700	66,700
50–54	32,000	33,500	65,500

Table 3

(Source: adapted from https://www.birmingham.gov.uk/downloads/file/10293/2017_birmingham_population_tool)

- (b) Using the information in Table 3, calculate to 2 decimal places, the percentage of people in the age group 45–49 that are female. You are advised to show your workings.

(2)

.....%



(6)

(Total for Question 5 = 10 marks)



13

Turn over ►

SECTION B

Look at Figure 2 and read Extract A, then answer Questions 4, 5 and 6.

Extract A



(Source: © Shutterstock)

Figure 2

Amelia Cooper trained as a plumber six years ago. Since then she has worked for a building company that carries out repairs to houses and business premises in the Birmingham area.

Amelia is now in a position where she wants to start her own plumbing business called *Lili Heating Ltd*. Even though there are many plumbers in the Birmingham area Amelia feels she has a unique selling point – she is a woman. Many female customers feel that they can relate more closely with a woman doing repairs in their homes.

As part of her business plan, Amelia has identified some clear aims and objectives and conducted a large amount of market research using the internet. Her target market requires clear advice on what work needs to be done and how much she will charge. Amelia also thinks she can cut down on advertising costs by getting her customers to recommend *Lili Heating Ltd* to their friends and families. For this to happen she knows that her work must be of the highest standard.

Amelia's business plan also included a wide range of financial information to help her forecast the potential success of the business and see if she would need an overdraft.



Substitution into correct formula: $\pounds 4\,000 + (\pounds 8\,600 - \pounds 11\,000) (1)$. Answer: $\pounds 1\,600 (1)$. Award full marks for correct numerical answer without working.

Look at this sub-question (Q1(b), 1 marks) within the pages below.

ORIGINAL PAPER — PAGES 2, 3 (JUNE 2024 PAPER 1)

SECTION A

Answer ALL questions. Write your answers in the spaces provided.

Some questions must be answered with a cross in a box ☒. If you change your mind about an answer, put a line through the box ☒ and then mark your new answer with a cross ☒.

- 1** (a) Which **one** of the following is a way of segmenting a market?

(1)

Select **one** answer.

- ☐ **A** Cost
- ☐ **B** Income
- ☐ **C** Media
- ☐ **D** Profit

- (b) Which **one** of the following is a definition of insolvency?

(1)

Select **one** answer.

- ☐ **A** Business failure due to unpaid debts
- ☐ **B** Credit offered by suppliers
- ☐ **C** The cost of borrowing money
- ☐ **D** When two businesses join together

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(c) Explain **one** disadvantage of starting a business as a partnership.

(3)

(d) Explain **one** advantage to customers from increased competition.

(3)

(Total for Question 1 = 8 marks)



3

Turn over ►

The only correct answer is A - Business failure due to unpaid debts. B is not correct because it is a definition of trade credit. C is not correct because it is a definition of interest. D is not correct because it is a definition of a merger.

Look at this sub-question (Q6(a), 1 marks) within the pages below.

ORIGINAL PAPER — PAGES 13, 14, 15, 26 (JUNE 2024 PAPER 1)

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6 (a) State **one** example of a cash inflow for *Adikoggz*.

(1)

(b) Outline **one** benefit to Keilan from producing a business plan for *Adikoggz*.

(2)

13

Turn over ►



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(Total for Question 6 = 12 marks)

TOTAL FOR SECTION B = 30 MARKS

15

Turn over ►



SECTION B

Look at Figure 2 and read Extract A, then answer Questions 4, 5 and 6.

Extract A

Adikoggz is a small business based in Leeds. It offers the customising of trainers. It was set up by Keilan Kogut in 2018. The business designs personalised trainers including those associated with the colours and images of football teams or music bands. Customers can either supply their own trainers to be customised or pay *Adikoggz* to source and design a new pair of trainers to meet their needs. *Adikoggz* charges up to £200 for a new pair of customised trainers. It also offers a service to deep clean trainers. The price for this is £20.



(Source: © Jonathan Day / Alamy Stock Photo)

Figure 2

The business started as a hobby but after showing off the designs on social media platforms such as Facebook and Instagram, Keilan started to receive follower requests asking him to customise or source unique styles of trainers. This gave him the inspiration to start *Adikoggz* and the business now receives orders from all over the world.

Keilan still carries out much of the work himself, but the growing number of orders has led him to struggle to keep up with demand. He now employs four people to help him with customisations. However, he still feels that the USP of *Adikoggz* is the personalised service it offers and that every customer will receive a unique product at the end of the process.

(Source: adapted from <https://www.adikoggz.com/> and <https://www.facebook.com/adikoggz>)



Award 1 mark for stating one cash inflow for Adikoggz. Sales from customised trainers (1). Receipts from deep cleaning (1). Capital from Keilan (1). To award 1 mark there must be evidence of application.

1.3.4 Sources of business finance (18 questions)

Specimen SAMS · Paper 1 · Q5(b) · \$B

Calculate

2 marks

Look at this sub-question (Q5(b), 2 marks) within the pages below.

ORIGINAL PAPER — PAGES 15, 26 (SPECIMEN SAMS PAPER 1)

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(d) Explain **one** method a business could use to add value to its product.

(3)

(e) Explain **one** reason why an entrepreneur would produce a business plan.

(3)

(Total for Question 2 = 12 marks)

SECTION C

Answer ALL questions. Write your answers in the spaces provided.

In the source booklet, look at Figures 4, 5, 6 and read Extract B, then answer Question 7.

- 7 (a) State **one** risk that Sally faces in starting this business.

(1)

- (b) Identify which of Sally's competitors is the most expensive per hour.

(1)

- (c) Outline **one** way in which the economic climate might impact on Sally's business.

(2)

Sally is considering whether or not to buy a franchise to start up on her own.

- (d) Justify whether or not Sally should buy a franchise.

(9)

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Loan = £4,500. Total repayments = $36 \times £136.50 = £4\,914$. Interest = $£4\,914 - £4,500 = £414$. Substitution into correct formula: Total interest = $414/4500 \times 100$ (1). Answer: 9.2% (1). Award full marks for correct numerical answer without working.

Look at this sub-question (Q5(c), 6 marks) within the pages below.

ORIGINAL PAPER — PAGES 16, 26 (SPECIMEN SAMS PAPER 1)

- 3 (a) Which **one** of the following is an example of a non-financial objective for an entrepreneur starting a new business?

Select **one** answer:

(1)

- ☐ A Survival
- ☐ B Profit
- ☐ C Market share
- ☐ D Independence

- (b) Using the information below calculate the total costs for the business. You are advised to show your workings.

Number of units sold: 240

Fixed costs: £1 100

Variable costs per unit: 45 pence

(2)

£

SECTION C

Answer ALL questions. Write your answers in the spaces provided.

In the source booklet, look at Figures 4, 5, 6 and read Extract B, then answer Question 7.

- 7 (a) State **one** risk that Sally faces in starting this business.

(1)

- (b) Identify which of Sally's competitors is the most expensive per hour.

(1)

- (c) Outline **one** way in which the economic climate might impact on Sally's business.

(2)

Sally is considering whether or not to buy a franchise to start up on her own.

- (d) Justify whether or not Sally should buy a franchise.

(9)

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Indicative content: The owners of Meringue have a number of priorities, including the development of the website, and therefore need to use some external finance to fund the work, which will increase their costs (AO2). Higher fixed costs will increase the amount of food and drink that needs to be sold to break even (AO2). This will mean that monthly fixed costs for the business will increase, which might affect profitability. However, if the contactless system helps to improve customer experience, Meringue is likely to see increased customer numbers, which will offset the increased costs (AO3a). Neil and Sue need to ensure that the size of the monthly payment does not result in a break-even level of sales that is unrealistic. Competition from local cafes is present and any increase in costs may result in the need to charge higher prices, which could be damaging (AO3a). Level 1 (1-2): Limited application of knowledge and understanding of business concepts and issues to the business context (AO2). Attempts to deconstruct business information and/or issues, finding limited connections between points (AO3a). Level 2 (3-4): Sound application... Level 3 (5-6): Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (AO2). Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning (AO3a).

Look at this sub-question (Q3(a), 1 marks) within the pages below.

ORIGINAL PAPER — PAGES 49 (SPECIMEN SAMS PAPER 2)

Please check the examination details below before entering your candidate information

Candidate surname					Other names				
Centre Number					Candidate Number				

Pearson Edexcel Level 1/Level 2 GCSE (9–1)

Sample assessment materials for first teaching September 2017

Time 1 hour 45 minutes

Paper reference **1BS0/02**

Business
PAPER 2: Building a business

You must have:
Source Booklet (enclosed)

Total Marks

Instructions

- Use **black** ink or ball-point pen.
- **Fill in the boxes** at the top of this page with your name, centre number and candidate number.
- There are **three** sections in this paper.
- Answer **all** the questions in the spaces provided – *there may be more space than you need.*
- Calculators may be used.
- You are advised to **show all your working out** with **your answer clearly identified** at the **end of your solution**.

Information

- The total mark for this paper is 90.
- The marks for **each** question are shown in brackets – *use this as a guide as to how much time to spend on each question.*

Advice

- Read each question carefully before you start to answer it.
- Try to answer every question.
- Check your answers if you have time at the end.

Turn over ►

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Pearson

Pearson Edexcel Level 1/Level 2 GCSE (9–1) in Business – Sample assessment materials
Issue 2 – March 2023 © Pearson Education Limited 2023

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Look at this sub-question (Q1(a), 1 marks) within the pages below.

ORIGINAL PAPER — PAGES 2, 3 (JUNE 2019 PAPER 1)

SECTION A

Answer ALL questions. Write your answers in the spaces provided.

Some questions must be answered with a cross in a box ☒. If you change your mind about an answer, put a line through the box ☒ and then mark your new answer with a cross ☒.

- 1 (a) Which **one** of the following is a short-term source of finance?

Select **one** answer.

(1)

- ☐ A Retained profit
- ☐ B Share capital
- ☐ C Trade credit
- ☐ D Venture capital

- (b) Which **one** of the following is a definition of an exchange rate?

Select **one** answer.

(1)

- ☐ A The flow of goods and services into a country
- ☐ B The value of one currency in terms of another currency
- ☐ C A tax on a particular good or service
- ☐ D When businesses operate on an international scale

- (c) Explain **one** benefit to an entrepreneur of buying a franchise to start a business.

(3)

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(3)

(Total for Question 1 = 8 marks)

3

Turn over ►



C - Trade credit (1)

Look at this sub-question (Q7(d), 9 marks) within the pages below.

ORIGINAL PAPER — PAGES 18, 19, 20, 21, 22, 23 (JUNE 2019 PAPER 1)

SECTION C

Answer ALL questions.

Read the following extract carefully and then answer Question 7.

Write your answers in the spaces provided.



aphrodite

© Aphrodite Clothing

Aphrodite is a clothes shop that was formed in 1994 by two brothers, Andrew and Duncan McKenzie. They opened the shop because they had a lifelong enthusiasm for new fashion.

Andrew and Duncan visit Paris, Milan and London each year to buy their stock. They aim to buy well-known brands, such as Stone Island and Hugo Boss, and to also stock clothes from new designers. This range of stock helps provide them with an advantage over their competition.

Customer service has always been an important part of *Aphrodite's* success. A polite and friendly attitude greets all customers on arrival at the shop. In 2007 the business launched its website, which sells its range of clothing using e-commerce. The owners looked to maintain existing high standards of service for customers using their website.

A new opportunity was created when the shop premises next to *Aphrodite* became available to buy. Andrew and Duncan are considering buying the shop in order to convert the two shops into one large premises. They have calculated that this will cost them £250 000 but are undecided on the best way to finance this.

Figure 2 shows information about interest rates that might help them when making their decision.

(Source: adapted from <https://www.aphrodite1994.com/about-us> and interview with owner 9/10/2017; photo: © fiphoto/Shutterstock)

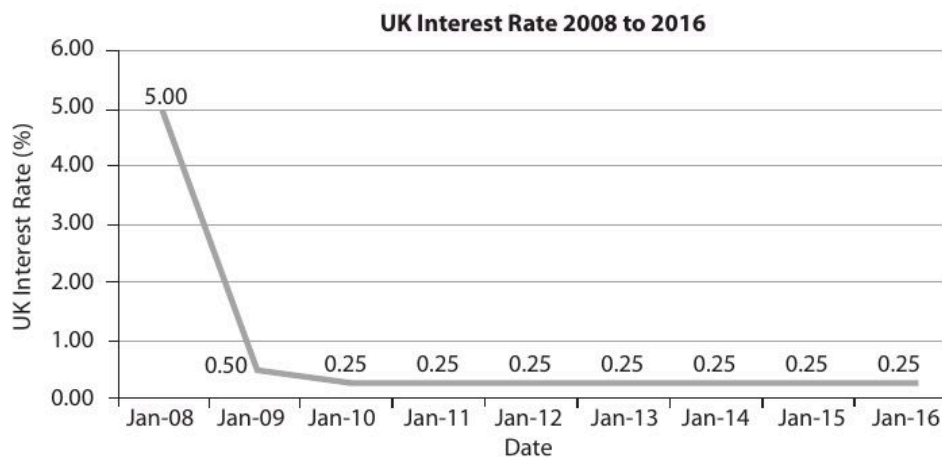


Figure 2



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- 7 (a) State **one** way *Aphrodite* could use social media.

(1)

Table 3 shows the value of the pound (£) in euros (€) from June to September.

Month	Number of euro (€) per pound (£)
June	1.13
July	1.11
August	1.09
September	1.14

Table 3

- (b) Identify, from Table 3, which month was best for *Aphrodite* to import clothes from Paris.

(1)

- (c) Outline **one** reason why *Aphrodite's* range of stock could give it an advantage over its competitors.

(2)



P 5 9 9 2 5 A 0 1 9 2 4

19

Turn over ►

To pay for the conversion of the premises, *Aphrodite* is considering two options:

Option 1: obtaining a bank loan

Option 2: crowd funding.

(d) Justify which **one** of these two options *Aphrodite* should choose.

(9)

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Handwriting practice lines consisting of six horizontal dotted lines within a rectangular box.



21

Turn over ►

(e) Evaluate the impact of e-commerce on *Aphrodite's* marketing mix. You should use the information provided as well as your knowledge of business.

(12)

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(Total for Question 7 = 25 marks)

TOTAL FOR SECTION C = 25 MARKS
TOTAL FOR PAPER = 90 MARKS



P 5 9 9 2 5 A 0 2 3 2 4

Indicative content: A loan is an external source of finance which means that the brothers can use retained profit at a later date (AO2). Crowd funding is a source of finance that will not require any interest to be paid when financing the conversion (AO2). Figure 2 shows that interest rates are very low. It makes financial sense to take advantage of this and obtain a loan. The interest rate will be fixed so Aphrodite would continue to benefit from the low rate for the full duration of the loan (AO3a). If no interest is paid on finance then Aphrodite can keep its costs low. This will be beneficial as it goes through a period of change. It is better to use crowd funding to grow the business as it reduces financial risk (AO3a). Despite the previous success of Aphrodite, the bank may be reluctant to provide a loan. Even if the bank agrees it will require financial plans for the expansion and may even ask for security from Aphrodite to secure the loan (AO3b). Aphrodite is expanding the premises for the first time. They may encounter unexpected building problems when they start to convert next-door. If the brothers do not raise enough money through crowd funding then they will not be able to cover any additional costs (AO3b). NB: There are a number of different types of crowdfunding and some candidates may refer to them. These include: 1. Rewards-based crowdfunding 2. Donation-based crowdfunding 3. Equity crowdfunding 4. Debt crowdfunding. Please take this into account when marking this question.

Level 1 (1-3 marks): Limited application of knowledge and understanding of business concepts and issues to the business context (AO2). Attempts to deconstruct business information and/or issues, finding limited connections between points (AO3a). Makes a judgement, providing a simple justification based on limited evaluation of business information and issues relevant to the choice made (AO3b).

Level 2 (4-6 marks): Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies (AO2). Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies (AO3a). Makes a judgement, providing a justification based on sound evaluation of business information and issues relevant to the choice made (AO3b).

Level 3 (7-9 marks): Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (AO2). Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning (AO3a). Makes a judgement, providing a clear justification based on a thorough evaluation of business information and issues relevant to the choice made (AO3b).

Look at this sub-question (Q1(b), 1 marks) within the pages below.

ORIGINAL PAPER — PAGES 2, 3 (JUNE 2019 PAPER 2)

SECTION A

Answer ALL questions. Write your answers in the spaces provided.

Some questions must be answered with a cross in a box ☒. If you change your mind about an answer, put a line through the box ☒ and then mark your new answer with a cross ☒.

- 1 (a) Which **one** of the following is an element of the design mix?

Select **one** answer.

(1)

- ☐ A Cost
☐ B Price
☐ C Product
☐ D Quality

- (b) Which **one** of the following is an example of an internal source of finance?

Select **one** answer.

(1)

- ☐ A Loan capital
☐ B Selling assets
☐ C Share capital
☐ D Stock market flotation

- (c) Explain **one** drawback to a business of using job production.

(3)

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(d) Explain **one** advantage to a business of producing a high quality product.

(3)

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(Total for Question 1 = 8 marks)



3

Turn over ►

B - Selling assets (1)

Look at this sub-question (Q6(c), 9 marks) within the pages below.

ORIGINAL PAPER — PAGES 15, 16, 17 (JUNE 2019 PAPER 2)

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6 (a) State **one** drawback to *Mind Candy* of organic growth.

(1)

(b) Outline **one** method *Mind Candy* could use to promote its new app.

(2)



15

Turn over ►

In order to raise the £1.2 million of extra finance needed, *Mind Candy* considered two options:

Option 1: retained profit

Option 2: share capital.

(c) Justify which **one** of these two options *Mind Candy* should choose.

(9)

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(Total for Question 6 = 12 marks)

TOTAL FOR SECTION B = 30 MARKS



P 5 9 9 2 6 A 0 1 7 2 4

17

Turn over ►

Indicative content: Mind Candy could use the retained profit from its successful game Moshi Monsters to raise the £1.2 million required (AO2). Mind Candy could issue more shares since there may be investors willing to take a risk and purchase these shares considering the company had a global hit game in 2012 (AO2). This is because retained profit involves no borrowing from external sources. Therefore, it is a cheap method of raising the finance required since Mind Candy will not pay interest if it uses this source. As a result, fixed costs may be lower (AO3a). The newly issued shares would be a low-risk method of raising finance for Mind Candy. This is because it would not involve debt or the cash flow commitment of having to repay bank loans with interest at specific points in time. Therefore, Mind Candy can raise the finance needed without increasing the chances of failure (AO3a). However, Moshi Monsters was a global hit in 2012 and the losses made in 2013 suggest that Mind Candy does not have £1.2 million of retained profit left in the form of cash to use. As a result, it is unlikely that this method of raising finance can be used (AO3b). However, since the company made large losses in 2013, Mind Candy would have to issue a large number of shares to raise the extra £1.2 million. This may reduce the percentage ownership of the existing shareholders (AO3b).

Level 1 (1-3 marks): Limited application of knowledge and understanding of business concepts and issues to the business context (AO2). Attempts to deconstruct business information and/or issues, finding limited connections between points (AO3a). Makes a judgement, providing a simple justification based on limited evaluation of business information and issues relevant to the choice made (AO3b).

Level 2 (4-6 marks): Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies (AO2). Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies (AO3a). Makes a judgement, providing a justification based on sound evaluation of business information and issues relevant to the choice made (AO3b).

Level 3 (7-9 marks): Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (AO2). Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning (AO3a). Makes a judgement, providing a clear justification based on a thorough evaluation of business information and issues relevant to the choice made (AO3b).

Look at this sub-question (Q1(d), 3 marks) within the pages below.

ORIGINAL PAPER — PAGES 2, 3 (NOV 2020 PAPER 1)

SECTION A

Answer ALL questions. Write your answers in the spaces provided.

Some questions must be answered with a cross in a box ☒. If you change your mind about an answer, put a line through the box ☒ and then mark your new answer with a cross ☒.

- 1 (a) Which **one** of the following is an example of a reward from business activity?

(1)

Select **one** answer.

- ☐ A Financial loss
- ☐ B Increased overheads
- ☐ C Independence
- ☐ D Lack of security

- (b) Which **one** of the following is a definition of market share?

(1)

Select **one** answer.

- ☐ A Market research that can be collected and analysed
- ☐ B The proportion of sales in a market made by one business
- ☐ C The total amount of money from business sales
- ☐ D A group of people who discuss their views on a product

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(c) Explain **one** benefit to a small business from having a unique selling point.

(3)

(d) Explain **one** advantage to a small business of using trade credit as a source of finance.

(3)

(Total for Question 1 = 8 marks)



P 6 1 6 4 6 A 0 3 2 4

3

Turn over ►

Award 1 mark for identification of an advantage, plus 2 further marks for explaining this advantage up to a total of 3 marks. Trade credit will allow a small business to buy now and pay later (1). This means the business has a chance to sell the goods before it has to pay its supplier (1). This will improve the cash-flow of the small business (1). Trade credit is a low-cost source of finance (1). If credit terms are met then no interest is charged (1). This will reduce the costs of the small business (1). Accept any other appropriate response. Answers that list more than one advantage with no explanation will be awarded a maximum of 1 mark.

Look at this sub-question (Q1(a), 1 marks) within the pages below.

ORIGINAL PAPER — PAGES 2, 3 (NOV 2021 PAPER 1)

SECTION A

Answer ALL questions. Write your answers in the spaces provided.

Some questions must be answered with a cross in a box ☒. If you change your mind about an answer, put a line through the box ☒ and then mark your new answer with a cross ☒.

- 1** (a) Which **one** of the following is a long-term source of finance?

(1)

Select **one** answer.

- ☐ **A** Overdraft
- ☐ **B** Revenue
- ☐ **C** Trade credit
- ☐ **D** Venture capital

- (b) Which **one** of the following could be used to identify customer needs?

(1)

Select **one** answer.

- ☐ **A** Business idea
- ☐ **B** Business objectives
- ☐ **C** Market research
- ☐ **D** Marketing mix

- (c) Explain **one** drawback to a business of having low levels of cash.

(3)

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(d) Explain **one** way an entrepreneur can reduce the risk of failure when starting a new business.

(3)

(Total for Question 1 = 8 marks)



3

Turn over ►

D - Venture capital

Look at this sub-question (Q6(c), 9 marks) within the pages below.

ORIGINAL PAPER — PAGES 15, 16, 17 (NOV 2021 PAPER 2)

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6 (a) State **one** impact to *Tesla* of continuing to make a loss.

(1)

(b) Outline **one** drawback to *Tesla* of a government introducing tariffs on imports from the US.

(2)



15

Turn over ►

In order to raise the finance for its new Chinese factory, *Tesla* is considering two options:

Option 1: share capital

Option 2: loan capital.

(c) Justify which **one** of these two options *Tesla* should choose.

(9)

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(Total for Question 6 = 12 marks)

TOTAL FOR SECTION B = 30 MARKS



P 6 6 4 7 9 A 0 1 7 2 4

17

Turn over ►

Indicative content: Tesla may be forced to issue more shares because it requires so much finance (\$5 billion) (AO2). Banks may be willing to lend Tesla the \$5 billion required because it is planning to produce a car which potentially could sell millions of units worldwide (AO2). This may be a successful share issue since potential shareholders would be willing to take the risk to invest in Tesla due to the potential profits that the Model 3 car would generate if it is successful. Therefore, Tesla should be able to generate the large amount of capital required to fund the expansion (AO3a). This loan would immediately boost cash flow and be a faster source of finance to generate than a share issue, allowing Tesla to build its factory in Shanghai before competitors such as VW and Renault enter the market (AO3a). However, Tesla made a \$976 million loss in 2018 which makes the purchase of shares quite risky. Therefore, the percentage ownership of existing shareholders may be diluted by more than Mr Musk wants, in order to secure the \$5 billion in funding required (AO3b). However, banks may view Tesla as being a high-risk company due to the \$976 million loss it made. As a result, it may charge high interest rates on any loan which may reduce the profitability of Tesla and lead to cash flow difficulties (AO3b).

Level 1 (1-3): Limited application; simple justification. Level 2 (4-6): Sound application; sound justification. Level 3 (7-9): Detailed application; clear justification based on thorough evaluation.

Look at this sub-question (Q2(d), 3 marks) within the pages below.

ORIGINAL PAPER — PAGES 4, 5 (JUNE 2022 PAPER 1)

2 (a) Which **two** of the following are examples of a service?

(2)

Select **two** answers.

- ☐ A Birthday cake
- ☐ B Fitness class
- ☐ C Mobile phone
- ☐ D Newspaper
- ☐ E Train journey

(b) Which **two** of the following are examples of cash inflows?

(2)

Select **two** answers.

- ☐ A Bank loan
- ☐ B Insurance
- ☐ C Raw materials
- ☐ D Receipts
- ☐ E Wages

Table 1 contains information about a small business for one month.

Number of sales	2,700
Variable costs (per unit)	£6
Sales price (per unit)	£20
Break even level of output	1,500

Table 1

(c) Using the information in Table 1, calculate the margin of safety. You are advised to show your workings.

(2)

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(d) Explain **one** disadvantage to a small business of using an overdraft as a source of business finance.

(3)

(e) Explain **one** impact on a small business of an increase in unemployment.

(3)

(Total for Question 2 = 12 marks)



P 6 5 5 6 1 A 0 5 2 4

5

Turn over ►

Award 1 mark for identification of a disadvantage, plus 2 further marks for explaining this disadvantage up to a total of 3 marks. Overdrafts can be an expensive source of finance (1). The bank may charge a high rate of interest for the overdraft facility (1). This will lead to an increase in costs for the business (1). Overdrafts cannot be used for long-term financial projects (1). This will prevent a business from using the overdraft to fund investment (1). Therefore, the business may struggle to finance long-term growth (1). Accept any other appropriate response. Answers that list more than one disadvantage with no explanation will be awarded a maximum of 1 mark.

Look at this sub-question (Q5(a), 2 marks) within the pages below.

ORIGINAL PAPER — PAGES 12, 13 (JUNE 2022 PAPER 1)

- 5 When starting the business in 2007, Melanie took out a loan. The financial details of this loan are in Table 2.

Loan required from the bank	£10 000
Total repayments for loan	£11 100
Length of loan	3 years

Table 2

- (a) Using the information in Table 2, calculate the interest on the loan as a percentage of the total amount borrowed. You are advised to show your workings.

(2)

..... %

- (b) Using the information in Table 2, calculate, to 2 decimal places, the monthly repayments for the loan. You are advised to show your workings.

(2)

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(c) Analyse the impact on *Little Movers* of having a strong brand.

(6)

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(Total for Question 5 = 10 marks)

13

Turn over ►



Substitution into correct formula: $(£11\,100 - £10\,000) \div £10\,000 \times 100$ (1). Answer: 11% (1). Award full marks for correct numerical answer without working.

Look at this sub-question (Q5(b), 2 marks) within the pages below.

ORIGINAL PAPER — PAGES 12, 13 (JUNE 2022 PAPER 1)

- 5 When starting the business in 2007, Melanie took out a loan. The financial details of this loan are in Table 2.

Loan required from the bank	£10 000
Total repayments for loan	£11 100
Length of loan	3 years

Table 2

- (a) Using the information in Table 2, calculate the interest on the loan as a percentage of the total amount borrowed. You are advised to show your workings.

(2)

..... %

- (b) Using the information in Table 2, calculate, to 2 decimal places, the monthly repayments for the loan. You are advised to show your workings.

(2)

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(c) Analyse the impact on *Little Movers* of having a strong brand.

(6)

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(Total for Question 5 = 10 marks)

13

Turn over ►



P 6 5 5 6 1 A 0 1 3 2 4

Substitution into correct formula: $\pounds 11\,100 \div 36$ (1). Answer: $\pounds 308.33$ (1). Award full marks for correct numerical answer without working.

Look at this sub-question (Q3(e), 6 marks) within the pages below.

ORIGINAL PAPER — PAGES 8, 9, 10 (JUNE 2022 PAPER 2)

3 (a) Which **one** of the following is a stage in the sales process?

(1)

Select **one** answer.

- ☐ A Advertising
- ☐ B Customer engagement
- ☐ C Product quality
- ☐ D Use of different payment systems

Figure 2 shows a business' sales revenue from each of its four locations in South Yorkshire in 2020.

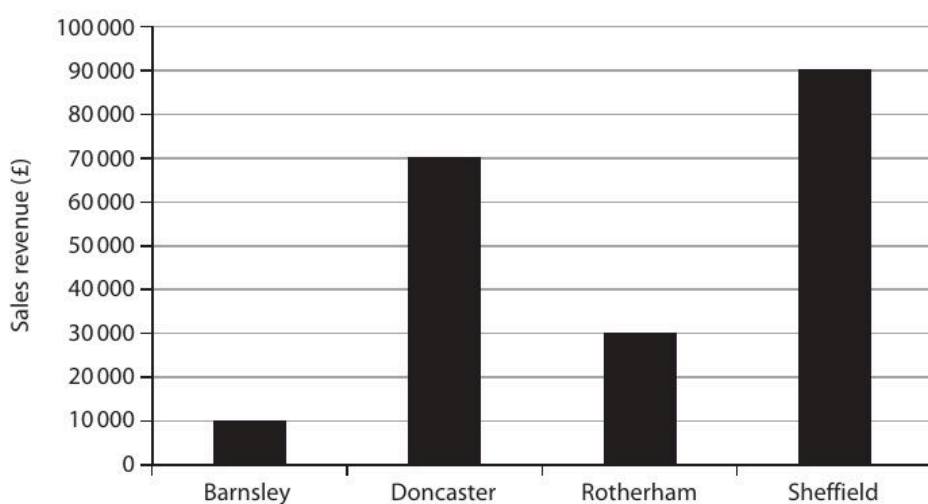


Figure 2

(b) Using the information in Figure 2, calculate the average sales revenue for this business in 2020. You are advised to show your workings.

(2)

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(c) Explain **one** method that a business could use to reduce its environmental impact.

(3)

(d) Explain **one** method that a business could use to extend the life cycle of one of its products.

(3)



9

Turn over ►

(e) Discuss the impact on a company of using retained profit as a source of finance for expansion.

(6)

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(Total for Question 3 = 15 marks)

TOTAL FOR SECTION A = 35 MARKS

10



Indicative content: Retained profit is often not large enough to be able to fund the expansion plans of a business (AO1b). This may mean that the business does not have to use other sources of finances such as share capital (AO1b). Therefore, other sources of finance will also need to be used to fund the expansion plans which will either increase fixed costs (bank loans) or dilute the ownership of existing shareholders (share capital) (AO3a). Therefore, by using retained profit there would be no need to dilute the ownership of existing shareholders (AO3a). Levels: Level 0 No rewardable material. Level 1 (1–2): Demonstrates elements of knowledge and understanding of business concepts and issues, with limited business terminology used (AO1b). Attempts to deconstruct business information and/or issues, finding limited connections between points (AO3a). Level 2 (3–4): Demonstrates mostly accurate knowledge and understanding of business concepts and issues, including appropriate use of business terminology in places (AO1b). Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies (AO3a). Level 3 (5–6): Demonstrates accurate knowledge and understanding of business concepts and issues throughout, including appropriate use of business terminology (AO1b). Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning (AO3a).

Look at this sub-question (Q3(d), 3 marks) within the pages below.

ORIGINAL PAPER — PAGES 6, 7, 8 (JUNE 2023 PAPER 1)

3 (a) Which **one** of the following could a small business use to add value?

(1)

Select **one** answer.

- ☐ A Locate in a convenient place
- ☐ B Pay a higher rate of taxation
- ☐ C Reduce its cash inflows
- ☐ D Use a long-term source of finance

Figure 1 shows the number of units sold per month by a business from February to April. The selling price for each unit was £5.20

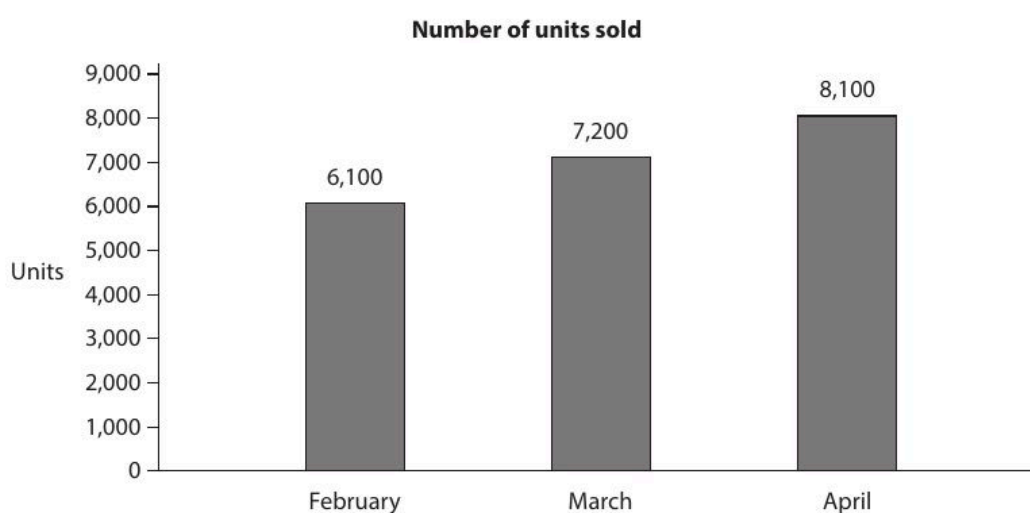


Figure 1

(b) Using the information in Figure 1, calculate the revenue for March. You are advised to show your workings.

(2)

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(c) Explain **one** disadvantage to a small business of not paying its employees on time.

(3)

(d) Explain **one** advantage to a small business from using retained profit as a source of finance.

(3)



7

Turn over ►

(e) Discuss the impact on a small business from adapting existing products to develop new business ideas.

(6)

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(Total for Question 3 = 15 marks)

TOTAL FOR SECTION A = 35 MARKS

8



Award 1 mark for identification of an advantage, plus 2 further marks for explaining this advantage up to a total of 3 marks. Retained profit is a cheap source of finance (1). This is because interest is not paid on retained profit (1). Therefore, the business would not experience an increase in costs (1). Retained profit does not dilute the ownership of the business (1). This is because the owner(s) keep full control of all decisions made since no new shares are issued (1). This may lead to decisions being made quicker in the business (1). Accept any other appropriate response. Answers that list more than one advantage with no explanation will be awarded a maximum of 1 mark.

Look at this sub-question (Q2(d), 3 marks) within the pages below.

ORIGINAL PAPER — PAGES 4, 5, 6 (JUNE 2023 PAPER 2)

- 2 (a) Which **two** of the following are documents produced by a business at the start of the recruitment process?

(2)

Select **two** answers.

- ☐ A Application form
- ☐ B Curriculum vitae (CV)
- ☐ C Job autonomy
- ☐ D Letter of application
- ☐ E Person specification

- (b) Which **two** of the following are services?

(2)

Select **two** answers.

- ☐ A Accountancy
- ☐ B Biscuits
- ☐ C Furniture
- ☐ D Hairdressing
- ☐ E Shoes

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Table 1 contains financial information about a business.

	£
Sales revenue	900 000
Cost of sales	325 000
Other operating expenses and interest	175 000
Net profit	400 000

Table 1

- (c) Using the information in Table 1, calculate to 2 decimal places, the net profit margin.

(2)

.....%

- (d) Explain **one** disadvantage to a business of using loan capital as a source of finance.

(3)



P 7 1 0 6 0 A 0 5 2 4

5

Turn over ►

(e) Explain **one** reason why a business may decide to reduce the size of its workforce.

(3)

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(Total for Question 2 = 12 marks)



Award 1 mark for identification of a disadvantage, plus 2 further marks for explaining this disadvantage up to a total of 3 marks. Interest will have to be paid on the loan (1). Therefore, the fixed costs of the business will increase (1). As a result, the profit of the business may fall (1). The loan will have to be repaid (1). Therefore, the business will incur larger cash outflows (1). As a result, the business may be at a greater risk of insolvency or cash-flow problems (1). Accept any other appropriate response. Answers that list more than one disadvantage with no explanation will be awarded a maximum of 1 mark.

Look at this sub-question (Q2(d), 3 marks) within the pages below.

ORIGINAL PAPER — PAGES 4, 5 (JUNE 2024 PAPER 1)

2 (a) Which **two** of the following could be used to collect secondary market research?

(2)

Select **two** answers.

- ☐ A Focus group
- ☐ B Internet
- ☐ C Market reports
- ☐ D Observation
- ☐ E Survey

(b) Which **two** of the following are covered by employment law?

(2)

Select **two** answers.

- ☐ A Consumer rights
- ☐ B Discrimination
- ☐ C Health and safety
- ☐ D Product quality
- ☐ E Taxation

Table 1 contains information for a small business.

Fixed costs	£7 500
Variable cost	£2 per unit
Selling price	£6 per unit
Output	5,000 units

Table 1

(c) Using the information in Table 1, calculate the total costs for the small business.
You are advised to show your workings.

(2)

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(d) Explain **one** disadvantage to a small business from using retained profit for expansion.

(3)

(e) Explain **one** advantage of opening up a business as a franchise.

(3)

(Total for Question 2 = 12 marks)

5

Turn over ►



Award 1 mark for a disadvantage, plus 2 further marks for explaining this disadvantage up to a total of 3 marks. Retained profit may not be sufficient (1). This is because a small business may not generate any profit (1). Therefore, there would not be enough funds for expansion (1). Retained profit will not be available for other uses in the business (1). Once it has been used it cannot be used again (1). Therefore, the business may have to use more expensive sources of finance in the future (1). Accept any other appropriate response. Answers that list more than one disadvantage with no explanation will be awarded a maximum of 1 mark.

Look at this sub-question (Q6(c), 9 marks) within the pages below.

ORIGINAL PAPER — PAGES 13, 14, 15, 26 (JUNE 2024 PAPER 1)

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6 (a) State **one** example of a cash inflow for *Adikoggz*.

(1)

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(b) Outline **one** benefit to Keilan from producing a business plan for *Adikoggz*.

(2)

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Turn over ►



(9)

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(Total for Question 6 = 12 marks)

TOTAL FOR SECTION B = 30 MARKS

15

Turn over ►



SECTION B

Look at Figure 2 and read Extract A, then answer Questions 4, 5 and 6.

Extract A

Adikoggz is a small business based in Leeds. It offers the customising of trainers. It was set up by Keilan Kogut in 2018. The business designs personalised trainers including those associated with the colours and images of football teams or music bands. Customers can either supply their own trainers to be customised or pay *Adikoggz* to source and design a new pair of trainers to meet their needs. *Adikoggz* charges up to £200 for a new pair of customised trainers. It also offers a service to deep clean trainers. The price for this is £20.



(Source: © Jonathan Day / Alamy Stock Photo)

Figure 2

The business started as a hobby but after showing off the designs on social media platforms such as Facebook and Instagram, Keilan started to receive follower requests asking him to customise or source unique styles of trainers. This gave him the inspiration to start *Adikoggz* and the business now receives orders from all over the world.

Keilan still carries out much of the work himself, but the growing number of orders has led him to struggle to keep up with demand. He now employs four people to help him with customisations. However, he still feels that the USP of *Adikoggz* is the personalised service it offers and that every customer will receive a unique product at the end of the process.

(Source: adapted from <https://www.adikoggz.com/> and <https://www.facebook.com/adikoggz>)



Indicative content: Arranging an overdraft would provide a source of cash should there be months where there is low demand for its customised trainers (AO2). Obtaining trade credit allows Adikoggz to buy new trainers and then pay for them at a later date (AO2). During months when there is less demand Adikoggz will still have running costs such as paying the wages of the four employees. If there is not as many cash inflows during these months, then an overdraft can be used to help support the business until demand increases again (AO3a). This will help with the cash-flow because it allows Adikoggz to customise and sell the trainers, and receive payment before they must pay the suppliers. This could therefore lead to less risk when buying new stock of expensive sports shoes (AO3a). However, overdrafts can be an expensive source of finance as interest will be charged. This is an additional cost for Adikoggz. If it relies on the overdraft too much, then this could indicate that the business needs to seek alternative sources of cash inflows from sports footwear (AO3b). However, Adikoggz is only a small business. It is not likely to be buying large amounts of stock. Suppliers such as Adidas may not be willing to offer trade credit to a business placing such small orders (AO3b). Level 1 (1-3): Limited application, simple justification. Level 2 (4-6): Sound application, justification based on sound evaluation. Level 3 (7-9): Detailed application throughout, clear justification based on thorough evaluation.